

Dtech Technology (H/A)

New Buy with HK\$430 PO: unsung hero in AI PCB; all set for strong growth in '26-28

PO: 430.00 HKD | Price: 277.00 HKD

Initiate at Buy, PO of HK\$430/RMB506

We initiate coverage on Dtech, the world's largest PCB drill-bit manufacturer, at Buy with a PO of HK\$430 (implies 29% potential upside). We believe Dtech is one of the most direct beneficiaries of the accelerating AI PCB upgrade cycle driven by rapid server architecture evolution. We like Dtech, given its: (1) direct leverage to AI PCB content growth; (2) high visibility for resilient earnings growth; (3) faster capacity expansion given its vertically-integrated drill bit manufacturing platform; and (4) longer growth runway vs. PCB drilling equipment suppliers as drill bits are a key consumable in the PCB manufacturing process. Our H-share PO of HK\$430 is based on avg. of DCF and P/E valuations, with 45x target 2027E P/E. Our A-share PO of RMB506 is based on 35% premium to H-share, in line with historical avg. Risks: pace of AI capex & PCB upgrade, tungsten price, competition.

Exponential demand growth supported by AI uptrend

We expect the AI PCB drill-bit market size (NVIDIA related) to achieve 96% CAGR over 2026-28E and reach RMB14bn by 2028E, supported by: (1) incremental usage of PCB in next-generation AI servers; (2) rising adoption and spec upgrades of HDI and HLC (more layers & higher thickness level), implying more demand for high-aspect-ratio drill bits (>30:1) with higher ASP; (3) potential CCL material upgrades, which could lead to more intensive usage of drill bits. Notably, the shift towards M9 CCL, if it materializes, could result in c.5x demand growth for drill bits (vs M7), given the harder CCL materials.

Faster capacity expansion to drive strong sales growth

Dtech has the fastest pace of capacity ramp-up: its total production capacity has ramped up to 180 million units per month by August 2026, with targets of c.10 million /15 million units of capacity addition per month in 2026/27. This is supported by Dtech's in-house development of PCB drill-bit production equipment. We expect Dtech to post 90% earnings CAGR in 2026-28 (without considering midplane), supported by solid sales growth of PCB drill bits (96% CAGR in 2026-28E) and an increase in GPM on improved product mix (increased contribution of high-aspect-ratio and coated products).

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	227	434	1,682	3,526	6,041
EPS	0.6	1.1	4.0	8.3	14.2
EPS Change (YoY)	3.5%	91.1%	274.9%	109.7%	71.3%
Dividend / Share	0.5	0.9	3.4	6.7	11.4
Free Cash Flow / Share	0	-0.6	0.4	3.0	9.9
Valuation (Dec)					
P/E	470.4x	235.1x	59.7x	28.5x	16.6x
Dividend Yield	0.2%	0.4%	1.4%	2.8%	4.8%
EV / EBITDA*	244.2x	147.1x	43.2x	22.0x	13.0x
Free Cash Flow Yield*	0%	-0.2%	0.2%	1.3%	4.2%

* For full definitions of *IQmethod*SM measures, see page 37.

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Refer to important disclosures on page 38 to 40. Analyst Certification on page 34. Price Objective Basis/Risk on page 34.

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18 September 2026

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Stock Data

Rating (H Share)	BUY
Rating (A Share)	BUY
Price (H Shr / A Shr)	277.00 HKD / 399.20 CNY
Price Objective	430.00 HKD / 506.00 CNY
Date Established	18-Sep-2026 / 18-Sep-2026
Investment Opinion	C-1-7 / C-1-7
52-Week Range	263.20 HKD- 455.60 HKD
52-Week Range	64.50 CNY- 666.00 CNY
Mkt Val / Shares Out (mn)	14,972 USD / 424.0
Market Value (mn)	117,448 HKD
Average Daily Value (mn)	4.03 USD
Free Float	50.7%
BofA Ticker / Exchange	XNISF / HKG
BofA Ticker / Exchange	XDTXF / SHZ
Bloomberg / Reuters	1377 HK / 1377.HK
Bloomberg / Reuters	301377 CH / 301377.SZ
ROE (2026E)	31.4%
Net Dbt to Eqty (Dec-2025A)	6.6%

PCB: printed circuit board

AI: artificial intelligence

HDI: high-density interconnect

HLC: high layer count

CCL: copper clad laminate

GPU: graphics processing unit

GPM: gross profit margin

See page 32 for full abbreviation table

See report: [AI PCB upgrade cycle=>Boon for equipment & drill bit manufacturers](#)

iQprofileSM Dtech Technology (H/A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	1,580	2,144	4,856	9,389	15,262
Gross Profit	565	908	2,798	5,556	9,247
Sell General & Admin Expense	(177)	(247)	(490)	(905)	(1,341)
Operating Profit	266	508	2,013	4,104	7,066
Net Interest & Other Income	(8)	(16)	(53)	22	20
Associates	NA	NA	NA	NA	NA
Pretax Income	258	492	1,959	4,125	7,086
Tax (expense) / Benefit	(30)	(60)	(280)	(601)	(1,047)
Net Income (Adjusted)	227	434	1,682	3,526	6,041
Average Fully Diluted Shares Outstanding	410	410	424	424	424

Key Cash Flow Statement Data

Net Income	227	434	1,682	3,526	6,041
Depreciation & Amortization	131	150	230	295	359
Change in Working Capital	(105)	(295)	(731)	(1,744)	(1,416)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	21	2	(6)	(7)	(7)
Cash Flow from Operations	273	291	1,175	2,071	4,978
Capital Expenditure	(275)	(520)	(1,000)	(800)	(800)
(Acquisition) / Disposal of Investments	54	215	0	0	0
Other Cash Inflow / (Outflow)	0	2	0	0	0
Cash Flow from Investing	(221)	(303)	(1,000)	(800)	(800)
Shares Issue / (Repurchase)	1	0	4,128	0	0
Cost of Dividends Paid	(76)	(171)	(382)	(1,429)	(2,821)
Cash Flow from Financing	(77)	120	3,746	(1,429)	(2,821)
Free Cash Flow	(2)	(229)	175	1,271	4,178
Net Debt	24	176	(3,746)	(3,588)	(4,944)
Change in Net Debt	(34)	152	(3,922)	158	(1,357)

Key Balance Sheet Data

Property, Plant & Equipment	1,070	1,314	2,102	2,626	3,086
Other Non-Current Assets	290	473	458	443	428
Trade Receivables	840	1,221	2,238	4,450	6,422
Cash & Equivalents	232	418	4,340	4,182	5,538
Other Current Assets	1,089	1,113	1,419	2,272	2,748
Total Assets	3,521	4,538	10,557	13,972	18,222
Long-Term Debt	23	75	75	75	75
Other Non-Current Liabilities	132	160	160	160	160
Short-Term Debt	233	518	518	518	518
Other Current Liabilities	653	1,135	1,728	3,050	4,082
Total Liabilities	1,041	1,889	2,482	3,803	4,836
Total Equity	2,479	2,649	8,074	10,169	13,386
Total Equity & Liabilities	3,521	4,538	10,557	13,972	18,222

iQmethodSM - Bus Performance*

Return On Capital Employed	8.5%	14.3%	28.2%	35.9%	48.3%
Return On Equity	9.5%	16.9%	31.4%	38.6%	51.3%
Operating Margin	16.8%	23.7%	41.4%	43.7%	46.3%
EBITDA Margin	25.1%	30.7%	46.2%	46.8%	48.6%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.2x	0.7x	0.7x	0.6x	0.8x
Asset Replacement Ratio	2.1x	3.5x	4.3x	2.7x	2.2x
Tax Rate (Reported)	11.8%	12.2%	14.3%	14.6%	14.8%
Net Debt-to-Equity Ratio	1.0%	6.6%	-46.4%	-35.3%	-36.9%
Interest Cover	25.3x	46.7x	NM	NM	NM

Valuation (A-share)

P/E	721.44x	377.43x	100.67x	48.00x	28.02x
Dividend Yield	0.120%	0.225%	0.844%	1.67%	2.86%
EV / EBITDA*	417.81x	251.75x	73.87x	37.66x	22.31x
Free Cash Flow Yield*	-0.001%	-0.135%	0.104%	0.751%	2.47%

* For full definitions of iQmethodSM measures, see page 37.

Company Sector

Industrials/Multi-Industry

Company Description

Dtech is the largest manufacturer of PCB drill bits globally. It held 29% global market share in PCB drill bits in 2025, ranking No. 1 globally. Dtech supplies drill bits to >70 of the global top-100 PCB manufacturers, and 9 of the global top-10 PCB manufacturers.

Investment Rationale

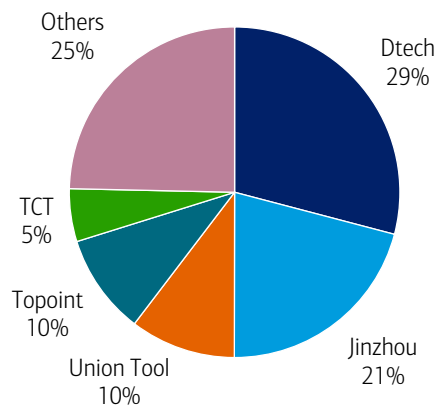
We have a Buy rating on Dtech, given: (1) its PCB drill bits business is likely to deliver strong growth in 2026-28, thanks to the rapid shipment growth amid the AI uptrend, as well as continuous ASP increases, (2) faster capacity additions vs. peers, thanks to its internally developed machine tools, likely enabling continued market-share gains, and (3) a longer growth runway compared with PCB equipment names as a key consumable in the PCB manufacturing process.



Focus charts

Exhibit 1: Dtech ranks No.1 among global drill bit suppliers...

Global market share of PCB drill bit (2025, by sales volume)

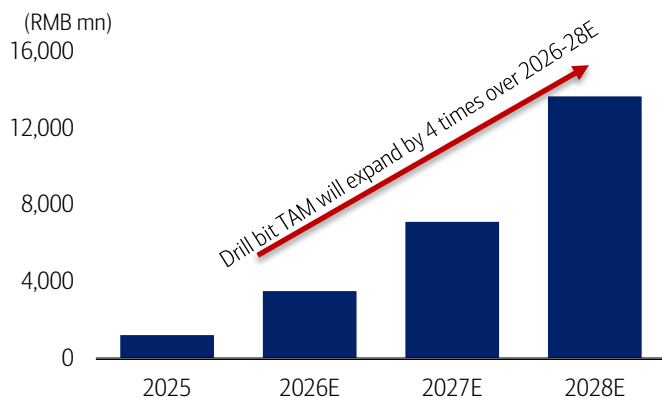


Source: BofA Global Research estimates, Dtech

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Exhibit 3: GPU/server upgrade drives demand for AI PCB drill bit...

We estimate NV related AIPCB drill bit TAM CAGR at 96% over 2026-28E

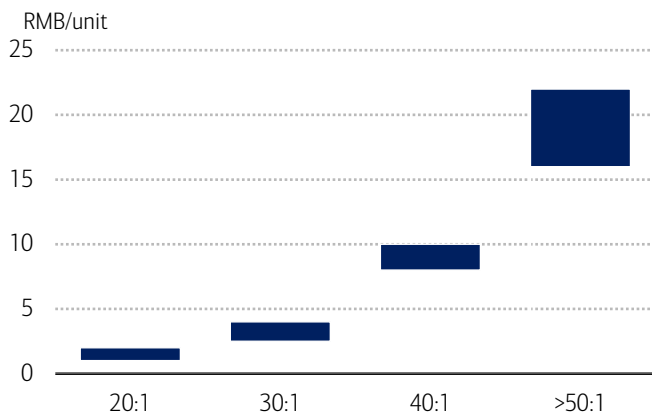


Source: BofA Global Research ; note: TAM indicates total market size; NV means NVIDIA

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Exhibit 5: HLC PCB needs more high-aspect ratio drill bits with higher ASP...

ASP of a >50:1 drill bit is >10x more than that of a conventional drill bit

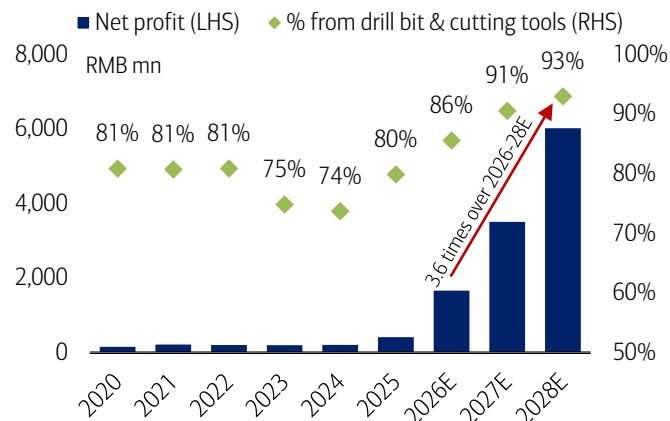


Source: Companies, BofA Global Research estimates

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Exhibit 2: ...with high earnings growth visibility

We estimate net profit to achieve 90% CAGR over 2026-28E

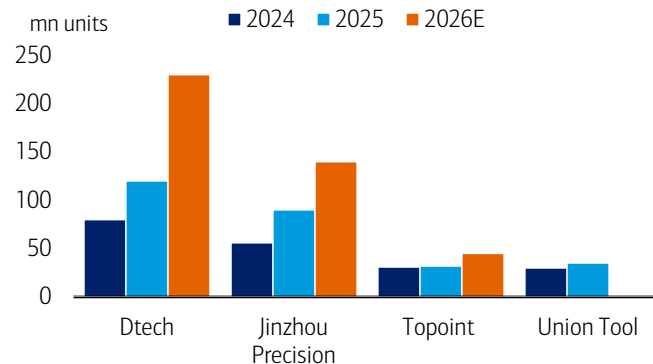


Source: BofA Global Research estimates, Dtech

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Exhibit 4: ...paving way for Dtech with stronger capacity expansion capability & in-house manufacturing equipment

Production capacity of global Top-4 drill bit suppliers

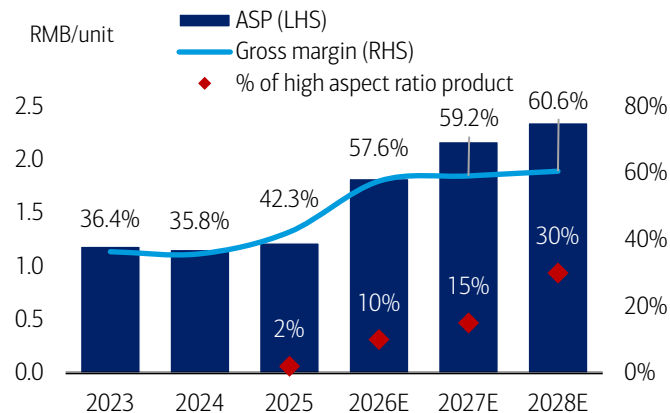


Source: BofA Global Research estimates

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Exhibit 6: ...driving Dtech's GPM to 60.6% in 2028E

Dtech's ASP, gross margin & % contribution from high end products

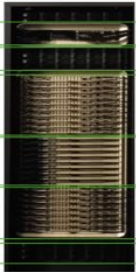
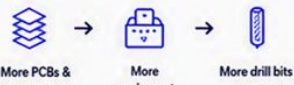


Source: Companies, BofA Global Research estimates; note: high aspect ratio in this chart means >30:1

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Exhibit 7: Next-generation server architecture changes=>PCB upgrades cycle=>opportunities for PCB equipment & drill bits

New generation servers require more HDI/HLCs; new material trigger demand for laser-drilling equipment

GB300 (Current Gen)	Vera Rubin (2H26) New Designs	Rubin Ultra (2027) Next Leap	PCB Type Guide																																																																																															
System Overview  • Compute Tray: 4x GPU (4 per tray) • Switch Tray: 2x NVLink Switch • Overpass Cable connects compute tray to baseboard • Midplane: No • Backplane: No	System Overview  • Compute Tray: 4x GPU (4 per tray) • Switch Tray: 2x NVLink Switch • Midplane (44L HLC) added within compute tray • Additional PCB for ConnectX NIC & BlueField DPU • Backplane: No	System Overview  • Compute Tray: 4x GPU (4 per tray) • Switch Tray: 2x NVLink Switch • Midplane (44L HLC) • Additional PCB for ConnectX NIC & BlueField DPU • Backplane (>70L HLC) added (possible, uncertainty exists)	HDI (High Density Interconnect)  • High wiring density • Fine lines / microvias • Used in compute tray PCBs • Better signal integrity • Suitable for laser drilling HLC (High Layer Count)  • Many signal / power layers • Thick boards, high reliability • Used in midplane, switch tray, backplane, baseboard • Suitable for mechanical drilling																																																																																															
Exploded View & PCB Stack-up <table><tr><th></th><th>PCB / Function</th><th>Layers</th><th>Material</th><th>Type</th></tr><tr><td>1</td><td>Compute Tray Baseboard PCB (4x GPU)</td><td>22L</td><td>M8</td><td>HDI</td></tr><tr><td>2</td><td>Switch Tray PCB (2x NVLink Switch)</td><td>22L</td><td>M8</td><td>HLC/HDI</td></tr><tr><td>3</td><td>Overpass Cable (High-speed)</td><td>N/A</td><td>N/A</td><td>FPC</td></tr><tr><td>4</td><td>Baseboard PCB (System Control & Power)</td><td>~20L</td><td>M8</td><td>HLC</td></tr></table>		PCB / Function	Layers	Material	Type	1	Compute Tray Baseboard PCB (4x GPU)	22L	M8	HDI	2	Switch Tray PCB (2x NVLink Switch)	22L	M8	HLC/HDI	3	Overpass Cable (High-speed)	N/A	N/A	FPC	4	Baseboard PCB (System Control & Power)	~20L	M8	HLC	Exploded View & PCB Stack-up <table><tr><th></th><th>PCB / Function</th><th>Layers</th><th>Material</th><th>Type</th></tr><tr><td>1</td><td>Compute Tray Baseboard PCB (4x GPU)</td><td>24L</td><td>M8.5</td><td>HDI</td></tr><tr><td>2</td><td>Additional PCB for ConnectX NIC & BlueField DPU (in Tray)</td><td>~14-16L</td><td>M8.5</td><td>HDI</td></tr><tr><td>3</td><td>Midplane PCB (44L HLC)</td><td>44L</td><td>M8.5</td><td>HLC</td></tr><tr><td>4</td><td>Switch Tray PCB (2x NVLink Switch)</td><td>32L</td><td>M8.5</td><td>HLC/HDI</td></tr><tr><td>5</td><td>Baseboard PCB (System Control & Power)</td><td>~22-24L</td><td>M8.5</td><td>HLC</td></tr></table>		PCB / Function	Layers	Material	Type	1	Compute Tray Baseboard PCB (4x GPU)	24L	M8.5	HDI	2	Additional PCB for ConnectX NIC & BlueField DPU (in Tray)	~14-16L	M8.5	HDI	3	Midplane PCB (44L HLC)	44L	M8.5	HLC	4	Switch Tray PCB (2x NVLink Switch)	32L	M8.5	HLC/HDI	5	Baseboard PCB (System Control & Power)	~22-24L	M8.5	HLC	Exploded View & PCB Stack-up <table><tr><th></th><th>PCB / Function</th><th>Layers</th><th>Material</th><th>Type</th></tr><tr><td>1</td><td>Compute Tray Baseboard PCB (4x GPU)</td><td>24L</td><td>M9</td><td>HDI</td></tr><tr><td>2</td><td>Additional PCB for ConnectX NIC & BlueField DPU (in Tray)</td><td>~14-16L</td><td>M9</td><td>HDI</td></tr><tr><td>3</td><td>Midplane PCB (44L HLC)</td><td>44L</td><td>M9</td><td>HLC</td></tr><tr><td>4</td><td>Switch Tray PCB (2x NVLink Switch)</td><td>32L</td><td>M9</td><td>HLC/HDI</td></tr><tr><td>5</td><td>CPX Board (in Tray)</td><td>~14-16L</td><td>M9</td><td>HDI</td></tr><tr><td>6</td><td>Backplane PCB (>70L HLC) (Rack-level)</td><td>>70L</td><td>M9</td><td>HLC</td></tr><tr><td>7</td><td>Baseboard PCB (System Control & Power)</td><td>~24L+</td><td>M9</td><td>HLC</td></tr></table>		PCB / Function	Layers	Material	Type	1	Compute Tray Baseboard PCB (4x GPU)	24L	M9	HDI	2	Additional PCB for ConnectX NIC & BlueField DPU (in Tray)	~14-16L	M9	HDI	3	Midplane PCB (44L HLC)	44L	M9	HLC	4	Switch Tray PCB (2x NVLink Switch)	32L	M9	HLC/HDI	5	CPX Board (in Tray)	~14-16L	M9	HDI	6	Backplane PCB (>70L HLC) (Rack-level)	>70L	M9	HLC	7	Baseboard PCB (System Control & Power)	~24L+	M9	HLC	Material Evolution (CCL) M8 → M8.5 → M9  • Higher performance & lower loss • Supports higher layer count and finer drilling • Requires more laser drilling equipment & drill bit usage
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Key Takeaways vs. Previous Gen • 4x GPU per compute tray • Overpass cable used for high-speed connection • HDI used in compute tray for high density & fine routing • No midplane or backplane in current design	Key Design Changes vs. GB300 ✓ Adds Midplane (44L HLC) inside compute tray ✓ Additional PCB for ConnectX NIC & BlueField DPU in tray ✓ Higher layer count for switch tray (22L → 32L) ✓ More HDI boards across the system ✓ Migration to M8.5 CCL (more laser drilling)	Key Design Changes vs. Vera Rubin ✓ Retains Midplane & adds PCB for ConnectX NIC & BlueField DPU in tray ? Adds Backplane (>70L HLC) for higher interconnect density (possible, uncertainty exists) ✓ All key boards migrate to M9 material (possible) ✓ Higher layer count & density requirements across boards	Why More & Better PCBs? More Layers Higher bandwidth, lower loss, better signal integrity More Power More power planes & layers to support next-gen GPUs/ASICs System Integration More PCB types improve modularity, reliability & serviceability Advanced Materials Migration to M9 CCL requires more laser drilling & drill bits																																																																																															
			Impact on Supply Chain  More PCBs & higher layers → More equipment → More drill bits demand																																																																																															

Source: BofA Global Research, company

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Unsung hero in AI PCB

Global leader in PCB drill bits

We initiate coverage on Dtech at a Buy rating with a PO of HK\$430/RMB506. Dtech is the largest manufacturer of PCB drill bits globally (29% market share in 2025). Dtech now supplies drill bits to over 70 of the global Top-100 PCB manufacturers, and 9 of the global Top-10 PCB manufacturers. Its key customers include Victory Giant, Shennan Circuits, TTM, and Kinwong etc. We like Dtech, given its: (1) PCB drill-bit business is likely to deliver strong growth in 2026-28, thanks to rapid shipment growth amid AI uptrend, as well as continuous ASP increase; (2) faster-than-peers' capacity additions, thanks to its internally developed machine tools, which enable continued market-share gains; and (3) longer growth runway compared with PCB equipment names, as PCB drill bit is a key consumable in the PCB manufacturing process.

Surging demand for drill bits amid AI super-cycle

We expect strong demand growth for AIPCB drill bits in 2026-28, supported by: (1) incremental usage of PCB in the next-generation AI servers; (2) rising adoption and spec upgrades of HDI and HLC, driving higher requirement for drill bits; and (3) potential CCL material upgrades (towards M9), leading to more intensive usage of drill bits. Notably, the shift towards M9 CCL in next-generation AI servers, if it materializes, could lead to c.5x demand growth for drill bits, given the harder CCL materials. Meanwhile, the shift towards high-aspect-ratio (>30:1) drill bits and coated drill bits could support a sustained rise in ASP (the price of a 50:1 drill bit is >10x more than that of a conventional drill bit). We thus estimate that the AIPCB drill bit market size will achieve 96% CAGR over 2026-28E and reach RMB14bn by 2028E.

Fast capacity addition to support solid shipment growth

The supply of drill bits has remained tight in recent quarters, due to the surging demand from AI servers coupled with limited supply. Dtech has the fastest pace of capacity ramp-up among the major PCB drill bit names: total production capacity has ramped up to 180 million units per month by August 2026, with targets of c.10 million/15 million units of capacity addition per month in 2026/27. This is supported by its unique edge with in-house development of PCB drill bit production equipment. As such, we expect its global market share to further increase to >40% in 2027. We expect Dtech's drill bits to post a revenue CAGR of 96% in 2026-28, supported by: (1) a 73% shipment CAGR during the period, thanks to its rapid capacity ramp-up and nearly full capacity utilization; and (2) its PCB drill bit ASP CAGR of 13% in 2026-28, reaching RMB2.35/unit by 2028E (vs. RMB1.22/unit in 2025), thanks to its improved product mix (more sales contribution from high-aspect-ratio and coated products) and a tight supply-demand dynamics.

We estimate 90% earnings CAGR in 2026-28

We expect Dtech to post 90% earnings CAGR in 2026-28, mainly supported by the solid sales growth of PCB drill bits, as well as its GPM expansion. The company's GPM improved 17.6ppt YoY /4.5ppt QoQ to 57.8% in 2Q26, thanks to the improved product mix. Looking ahead, we expect Dtech's 2026/27/28 GPM to improve to 58%/59%/61%, mainly supported by the continued product mix improvement of its PCB drill bits, which could offset the impact of tungsten price hikes.

Initiate Dtech at Buy and HK\$430 PO

We like Dtech's strong edge in PCB drill bits and in-house developed production equipment. We expect it to reap further upside from the ongoing servers upgrade and development of AI. We thus have a Buy rating. Our PO of HK\$430 is derived from the average of DCF and P/E valuation methodologies. We assign a target P/E of 45x to its 2027E EPS. Our target P/E reflects a PEG of 0.5x vs. the company's estimated earnings CAGR of 90% over 2026-28. This is in line with the average PEG of its global pure drill bits peers.

Risks: slower AI capex, PCB upgrade delays, fierce competition, tungsten price rise, etc.



Valuation

Initiate at Buy with PO of HK\$430/RMB506

H-share PO at HK\$430

Our H-share PO of HK\$430 is derived from the average of DCF and P/E valuation methodologies. We believe DCF is a suitable valuation methodology, as it better captures the company's net profit, working capital management, capex, and cash-flow generation. Meanwhile, we believe P/E is another suitable methodology, as it captures the sustained earnings growth we anticipate the company will achieve.

Exhibit 8: Dtech's valuation summary

Our derived PO is HK\$430/RMB506

Valuation methodology	Implied value	Upside Potential	Parameters
Methodology 1			
DCF	430		WACC of 13.2%
Methodology 2			
P/E	430		45 x
H-share PO (HK\$)	430	55%	
A/H premium	35%		
A-share PO (RMB)	506	27%	

Source: BofA Global Research estimates

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DCF-based fair value of HK\$430

We derive a fair value of HK\$430 from our DCF calculation, with FCF perpetuity growth assumption of 3%. Our WACC of 13.2% is based on 13.3% total cost of equity (i.e., risk-free rate of 3.5%, expected market return of 12% [in line with industrial peers], and 1.15x equity beta) and an after-tax cost of debt of 2.6%. We expect its capex to ramp up in 2026-28, thanks to the rapid capacity addition of PCB drill bits amid the AI uptrend.

Exhibit 9: Dtech's DCF valuation

Our DCF-based fair value is HK\$430

	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	2036F	Beyond 2036F
Net income	1,682	3,526	6,041	8,242	11,126	15,021	20,278	25,347	27,882	30,670	33,737	1,682
Add: depreciation & amortization	230	295	359	399	439	479	519	559	599	639	679	
Less: Increase(decrease) in core business working capital	731	1,744	1,416	751	2,426	2,271	3,009	2,902	1,624	1,786	1,784	
Less: Core business capex	1,000	800	800	500	500	500	500	500	500	500	500	
FCFF	212	1,256	4,164	7,362	8,602	12,689	17,247	22,461	26,310	28,971	32,075	322,547
PV of FCFF	204	1,069	3,130	4,887	5,043	6,569	7,884	9,067	9,378	9,119	8,916	89,658
Firm value (RMB mn)	154,924											
Cash	4,340											
Debt - short	(518)											
Debt - long	(75)											
Equity value (RMB mn)	158,670											
Shares outstanding (mn shares)	424											
Value per share (RMB)	374											
Exchange rate (RMB/HK\$)	0.87											
Value per share (HK\$)	430											

Source: BofA Global Research estimates

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P/E-based fair value of HK\$430

Dtech-H currently trades at 29x 2027E P/E, corresponding to 0.3x 2027E PEG (based on estimated earnings CAGR of 90% over 2026-28). We assign a target P/E of 45x to its 2027E EPS and derive a P/E-based fair value of HK\$430. Our target P/E reflects a PEG of 0.5x, given the company's estimated earnings CAGR of 90% over 2026-28. This is in line with its global drill bits peers (i.e., Topoint and Union Tool) who have a similar business structure as Dtech (>90% of revenue contribution).

Dtech is currently trading at a premium to its domestic PCB drill bit/cutting tool peers (2027E average P/E of 26x). We believe this premium is justified for several reasons.



First, Dtech is one of the few pure-play PCB drill bit manufacturers, with PCB drill bits expected to contribute c.83% of revenue in 2027E, making it one of the most direct beneficiaries of the rapid growth in AI server-related PCB demand. By comparison, peers such as China Tungsten, Shareate and OKE have more diversified business portfolios and lower exposure to PCB drill bits.

Second, Dtech is likely to deliver significantly faster earnings growth, with net profit CAGR of 90% in 2026-28E, versus the peer average of around 30%.

Third, the company has established strong customer relationships with leading AI PCB manufacturers, including Victory Giant, WUS, Shennan Circuits and Kinwong, positioning it well to capture the next wave of AI-driven PCB demand.

Fourth, Dtech continues to strengthen its competitive edge in high-end products. We estimate high-aspect-ratio drill bits will account for c.30% of shipments by 2028E, up from only c.10% in 2026E, supporting both market share gains and margin expansion.

Finally, Dtech holds a leading position in a niche market characterized by high entry barriers, including material, manufacturing equipment capabilities, accumulated process know-how and customer qualification requirements. In addition, customer switching costs are relatively high: drill bits account for only a low-single-digit percentage of total PCB manufacturing costs, yet their performance has a direct impact on drilling quality and production efficiency, making reliability a key purchasing consideration.

Exhibit 10: Valuation summary table for PCB equipment and drilling bits

Dtech-H is trading at 29x 2027E P/E

Company	Stock code	Currency	Share price	Mkt cap	P/E			P/B		ROE		Dividend yield		2026-28 profit CAGR	PEG	% of revenue from drill bit
				US\$ bn	2026E	2027E	2028E	2026E	2027E	2026E	2027E	2026E	2027E			
Dtech-H	1377 HK	HKD	277.0	25.2	54.7	29.0	16.9	12.7	10.0	31%	39%	1.2%	2.4%	90%	0.3	81%
Dtech-A	301377 CH	RMB	399.2	25.2	100.7	48.0	28.0	21.0	16.6	31%	39%	0.8%	1.7%	90%	0.5	81%
Global drill bit peers																
Topoint	8021 TT	TWD	450.0	2.0	49.8	26.4	13.0	9.3	10.6	16%	42%	1.3%	3.3%	93%	0.3	98%
Union Tool	6278 JP	JPY	12,840.0	1.6	19.6	15.7	12.7	2.3	2.1	13%	NA	1.2%	1.4%	24%	0.7	93%
Average					36.2	21.6	12.9	6.2	6.8	14%	23%	1.2%	2.4%	62%	0.5	96%
Domestic drill bit/cutting tool peers																
China Tungsten	000657 CH	RMB	60.9	21.0	32.1	26.3	20.8	10.9	8.5	35%	34%	1.1%	1.5%	24%	1.1	16%
Shareate	688257 CH	RMB	54.7	2.8	27.8	22.7	16.6	5.1	3.8	29%	27%	NA	NA	22%	1.0	c.10%
Up-shine Lighting	301362 CH	RMB	115.4	2.5	49.7	25.1	19.9	6.0	5.7	12%	23%	NA	NA	58%	0.4	LSD
OKE	688308 CH	RMB	86.1	2.0	23.2	23.9	17.1	4.5	4.0	20%	17%	1.1%	1.2%	16%	1.4	LSD
Average					32.6	25.7	20.0	9.4	7.5	31%	31%	0.9%	1.2%	26%	1.1	c.10%
PCB equipment peers																
Han's CNC-A	301200 CH	RMB	258.9	18.7	63.6	40.0	29.1	13.5	10.7	25%	30%	0.6%	0.9%	48%	0.8	-
Circuit Fabology	688630 CH	RMB	431.2	8.9	100.3	61.2	43.4	22.1	17.5	22%	30%	0.3%	0.4%	54%	1.1	-
Dongwei	688700 CH	RMB	64.5	2.9	57.6	32.9	21.9	9.2	7.6	16%	24%	0.6%	1.0%	62%	0.5	-
GKG Precision	301338 CH	RMB	100.5	2.1	39.9	26.3	19.7	7.8	6.4	20%	24%	0.8%	1.2%	42%	0.6	-
Suzhou Delphi Laser	688170 CH	RMB	71.4	1.1	98.4	56.2	35.1	5.5	5.1	0%	0%	0.0%	0.0%	68%	0.8	-
Average					72.5	44.7	31.9	14.8	11.7	22%	28%	0.5%	0.8%	51%	0.9	-

Source: Bloomberg, Company data, BofA Global Research; price date: 17 September 2026; note: earnings forecasts for non-covered companies are based on BBG consensus

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A-share PO at RMB506

Our PO of Dtech-A at RMB506 is derived with a 35% A/H valuation premium to our PO of Dtech-H, which is in line with its historical average A/H valuation premium.

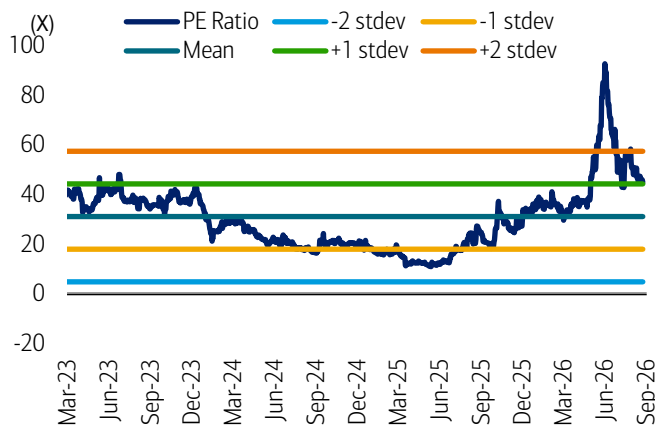
Dtech-A traded between 20x and 40x 1-year forward P/E in 2023-24, prior to the share-price rally driven by AI PCB (its earnings were -2%/+3% YoY in 2023/24 amid a mild sales growth and rising opex). Its share price started to pick up in 2H25, driven by the AI uptrend and its improving earnings growth (its earnings growth picked up to 78%/81% YoY in 1Q/2Q25). Our PO of Dtech-A corresponds to 61x 2027E P/E, c.2SD above its



historical average, which reflects the strong growth outlook of Dtech's PCB drill bit business, supported by strong growth of market demand, rising ASP, and its market-share gains. The implied PEG for our A-share PO is 0.7x, still lower than its peers.

Exhibit 11: Dtech's one-year forward historical P/E band

Dtech trades c.1SD above its historical average

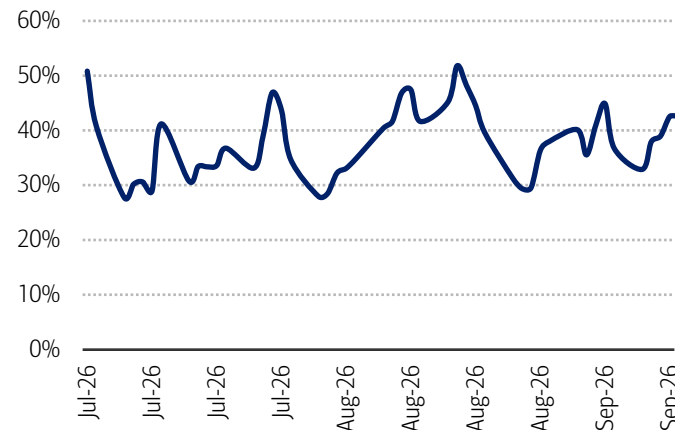


Source: BofA Global Research estimates, Bloomberg

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Exhibit 12: Dtech's historical A/H premium

Historical average A/H premium is 35%



Source: BofA Global Research, Bloomberg

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Backplane could be the largest swing factor

Backplane is a high-density and high layer count (70-100 layers) PCB that may potentially be adopted on the Rubin Ultra platform, which can replace thousands of traditional copper cables and directly interconnect compute and NVLink switch. We expect backplane could bring significant earnings upside to Dtech, given: (1) more adoption of 50:1 drill bits with significantly higher ASP; and (2) more demand for 20:1/30:1/40:1 drill bits as it requires step-drilling, given the extremely high thickness. That said, there are still uncertainties on the adoption of backplane due to technological difficulties (see report: [Victory Giant \(A\): Expect momentum to resume from 3Q, more new customers; reiterate Buy](#)). Our base-case earnings forecast assumes no earnings contribution from backplane in 2026-28E. We see 7%/13% earnings upside in 2027/28 in case backplane is launched in 2027.

Exhibit 13: Dtech's share price sensitivity on backplane

We see 7%/13% earnings upside for Dtech-H in 2027E/2028E if backplane is introduced

Scenario analysis	Drill bit ASP (RMB/unit)			Earnings (RMB mn)		
	2026E	2027E	2028E	2026E	2027E	2028E
Base case (without backplane)	1.83	2.17	2.35	1,682	3,526	6,041
Bear case (with backplane)	1.83	2.38	2.80	1,682	3,771	6,821
Change%	0%	10%	19%	0%	7%	13%

Source: BofA Global Research estimates

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Risks

Slower-than-expected AI capex

The demand growth for drill bits is primarily driven by AI servers. If the development of the AI industry is below expectations, the demand growth of HDI and HLC would be slower than expected, which could dampen Dtech's drill bit sales growth momentum.

Slower-than-expected spec upgrade of AI PCB

The value increase of PCB drill bits is largely driven by the spec upgrade of PCB. If the spec upgrade is slower than expected, including (1) delayed adoption of next-generation PCB design for AI servers; and (2) delayed adoption of next-generation CCL materials (i.e. M9), the upgrade of PCB drill bits would be slower than expected. Moreover, if softer materials are adopted in the next-generation CCL, the demand for drill bits could also be negatively affected.

Market competition in PCB drill bit

Dtech held 29% global market share in PCB drill bits in 2025, ranking No. 1 globally. That said, there are some emerging players entering into the PCB drill bit market, including Shareate (Good Team Electronics), Up-shine (Xiazhi Precision), and OKE (Yongxin). Some other players such as Worldia and SF Diamond are also entering into the market with polycrystalline diamond (PCD) drill bits. If the market competition intensifies in the coming years, Dtech's sales growth could be negatively impacted.

Fluctuation of raw material prices & availability of high-end tungsten steel

Direct materials including tungsten carbide (WC) and cobalt account for c.50% of Dtech's COGS. Dtech is now able to fully pass through the upstream cost pressures. That said, if there is a significant increase in commodity prices due to supply shortages, and Dtech is not able to fully pass through the material cost pressure, Dtech's earnings growth could be negatively impacted.

Moreover, around 30% of Dtech's tungsten steel is sourced from Japanese suppliers such as Sumitomo Electric. If there is supply shortages of high-end tungsten steel produced by Japanese suppliers, and Dtech might be not able to secure alternative supplies in the domestic market, Dtech's earnings growth could be negatively impacted.

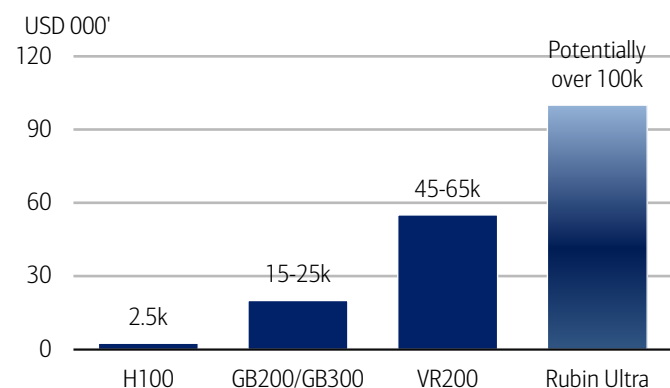
PCB drill bit: riding on AI uptrend

Surging demand amid AI super-cycle

The strong AI cloud capex and the faster GPU/ASIC upgrades are speeding up the PCB upgrade cycle. According to our Greater China Technology team, the Rubin platform could boost PCB content value by c.3x vs. GB200/GB300 AI servers, and the content value of PCB could further double in the Rubin Ultra platform (see report: [China PCB makers rise to the fore amid global AI super-cycle](#)). As a key consumable in the PCB manufacturing process, drill bits are likely to witness a surging demand in the coming years, driven by: (1) incremental usage of PCB in the next-generation AI servers; (2) rising adoption and spec upgrades of HDI and HLC, driving higher requirement for drill bits; and (3) CCL material upgrades, leading to more intensive usage of drill bits.

Exhibit 14: PCB value across different Nvidia AI server platforms

The Rubin platform could boost PCB content value by c.3x vs. GB200/GB300 AI servers



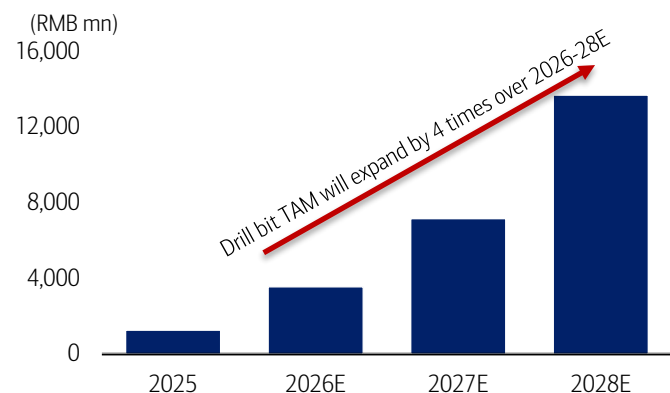
Source: BofA Global Research estimates

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AI PCB is the largest end-market of PCB drill bits. We estimate the NV related AI PCB drill bit market size to achieve 96% CAGR over 2026-28E and reach RMB14bn by 2028E, acting as the largest growth driver for the PCB drill bit market. This will be driven by 1) surging rack volume (likely double in 2026E followed by another >50% growth in 2027E), which results into resilient growth for drill bits used in switch tray; 2) additional demand from midplane for compute tray in Vera Rubin (starting in 3Q26). Also, the potential launch of backplane for Rubin Ultra may act as upside catalyst for the market size.

Exhibit 16: Market size of AI PCB drill bit in China

We estimate NV related market size to grow by 96% CAGR over 2026-28E

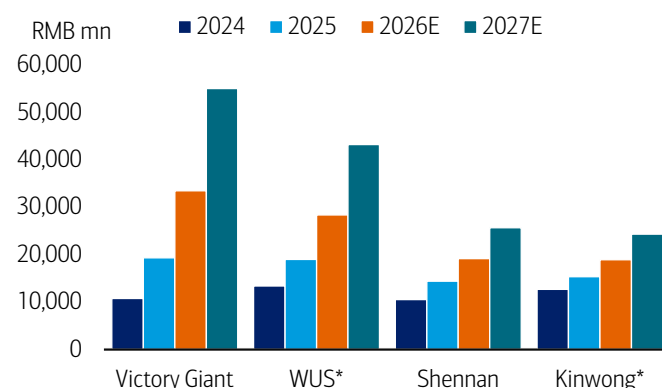


Source: BofA Global Research Estimates; note: NV and NVDA indicates NVIDIA; VR indicates Vera Rubin; RU indicates Rubin Ultra

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Exhibit 15: PCB-related revenue trend of major Chinese PCB makers

Leading PCB makers are expected to deliver strong sales growth in 2026-27 amid AI upcycle

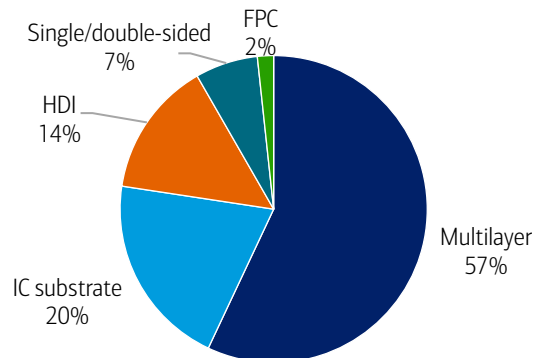


Source: BofA Global Research estimates, company reports. * per Bloomberg consensus

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Exhibit 17: End-market of PCB drill bit (2025)

Multilayer PCB/IC substrate/HDI accounted for 57%/20%/14%



Source: Prismark, Frost & Sullivan

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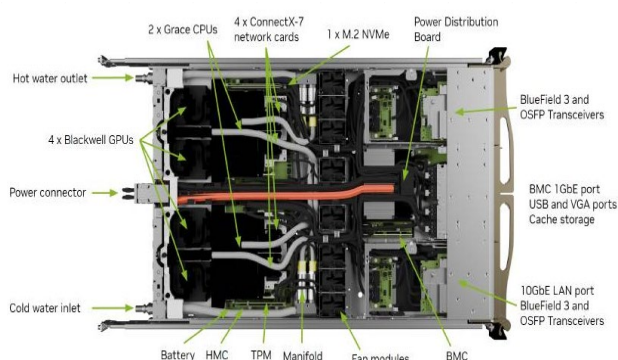


Incremental usage of PCB in next-generation AI servers=>more volume

We see a greater variety of PCBs in next-generation AI servers, which could boost the demand for drill bits in the PCB manufacturing process. Nvidia's Rubin platform will have multiple additional PCB components, including: (1) a **midplane** (44-layer HLC with M8.5 CCL) to replace overpass cable used in GB200/300; (2) a Rubin **CPX** board in the computing tray (optional); and (3) an additional PCB used in **ConnectX** NIC and **BlueField** DPU. Into 2027-28, if backplane for Rubin Ultra is introduced, we are likely to see ongoing content value upside for PCB supply chain. Long term, the adoption of Chip-on-Wafer-on-PCB (**CoWoP**) could further raise the demand for PCBs as the IC substrate within AI servers. (See report: [Technology-APAC-Overview of AI PCB](#))

Exhibit 18: Illustration of GB200 compute tray

Compute tray is composed of two compute boards, and each compute board has one CPU and two GPUs atop

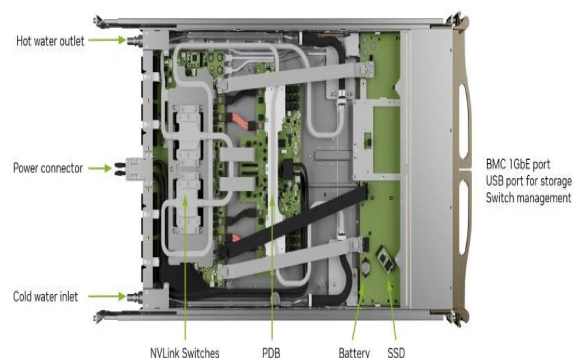


Source: BofA Global Research, company

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Exhibit 19: Illustration of switch tray

Switch tray is one of key elements in GB200 NVL36/72 system



Source: BofA Global Research

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Exhibit 20: Volume of major PCBs used in GB300 rack vs. Vera Rubin rack (without considering number of layers)

Vera Rubin rack requires 54 more PCB

	GB300 NVL72		Vera Rubin NVL72	
	Unit per tray	PCB per rack	Unit per tray	PCB per rack
PCB per compute tray (18)				
Compute baseboard PCB	1	18	1	18
GPU carrier board PCB	4	72	4	72
Battery backup unit PCB	1	18	1	18
NIC/DPU and Others	4	72	6	108
Midplane PCB	0	0	1	18
PCB per switch tray (9)				
Switch mainboard PCB	1	9	1	9
PCB per Top of Rack Switch (2)				
Top of Rack switch PCB	1	2	1	2
PCB per power shelf (8)				
Power Distribution Board	1	8	1	8
PSU PCB	6	48	6	48
Power management PCB	1	8	1	8

Source: BofA Global Research

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Rising adoption of HDI and HLC increases drill bit demand=>more layers

The evolution of AI servers is bringing in rising adoption of HDI and HLC. In general, AI servers will require 20-40+ layers of PCBs, vs. general servers' 12-18 layers. The upgrade is aimed to support a complex circuit layout, high-speed inter-chip transmission, while providing high-density interconnects, superior thermal management, and space optimization. The layer count of PCBs continues to increase in the next-generation AI servers. For example, Vera Rubin's Bianca board will use 6-layer HDI (6+12+6), vs. a 5-layer HDI (5+12+5) in GB200/GB300's Bianca board, while its switch tray will use 32-

layer HLC PCBs, vs. 22-layer for GB200/GB300. The layer count of PCB may even rise to >78 in the backplane of Rubin Ultra NVL576 Kyber rack.

On the ASIC front, as ASIC solutions leverage more complex networking structures to compensate for lower single-chip performance, they usually have higher requirements for the underlying interconnects like PCBs and optical transceivers. As such, PCBs for ASIC solutions require more advanced designs, usually 28-40 and even higher layers, supported by advanced CCL materials (M7 and above).

The trend towards higher density and higher layer count has increased the hole density and drilling depths while reducing hole diameters. These technological shifts are driving increased demand for high-precision micro drills, high-aspect-ratio drills, and coated drill bits. The step-drilling process used in HLC also raises the demand for drill bits. For example, Vera Rubin's midplane (44-layer HLC with M8.5 CCL) requires 4-step drilling for a single hole, which brings higher demand for drill bits.

In addition, the high-aspect-ratio drill bits are more prone to breakage and deviation during the drilling process, which reduces the life cycle of a single drill bit, significantly increasing the drill bit consumption.

Exhibit 21: Summary of PCB specs across different Nvidia GPU platforms

We expect around 3x higher value from VR200 vs GB200/300

	H100	GB200/GB300	VR200	Rubin Ultra
Value (USD)	2,500	20,000-30,000	60,000-80,000	>100,000
OAM				
PCB type	HDI			
Layer	20 (5+10+5)			
Material	M7			
UBB				
PCB type	HLC			
Layer	28			
Material	M7			
CPU board				
PCB type	HLC			
Layer	18			
Material	M6			
Computing tray				
PCB type		HDI	HDI	HDI
Layer		22 (5+12+5)	24 (6+12+6)	26 (7+12+7)
Material		M8 + M4	M8 + M4	M8 + M4
Switch tray				
PCB type		HDI/HLC	HLC	HLC
Layer		22	32	32
Material		M8	M8.5	M8.5 or M9 (Q Glass) or M10 (T or low-Dk)
Midplane				
PCB type			HLC	HLC
Layer			22+22	22+22
Material			M8.5	M8.5 or M9 (Q Glass) or M10 (T or low-Dk)
Backplane (potential)				
PCB type				HLC
Layer				78-layer (26+26+26), or over 100-layer
Material				M9 + Q Glass or M10 + HVLP5

Source: BofA Global Research estimates

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HLC require step-drilling=> surging demand for drill bits

We believe the rising penetration level as well as layer upgrade for HLC translate into more demand for step-drilling, given the rising thickness level (i.e., switch tray mainboard evolves to 32 layers for Vera Rubin & Rubin Ultra vs. 22 layers for GB300). The demand will surge significantly if backplane is introduced for Vera Rubin, given its ultra thickness level of >70 layers. Step-drilling is a drilling technique used for thick multilayer boards and high aspect-ratio vias, where the drill bit does not penetrate the entire board thickness in a single pass. For example, if the thickness level of a PCB

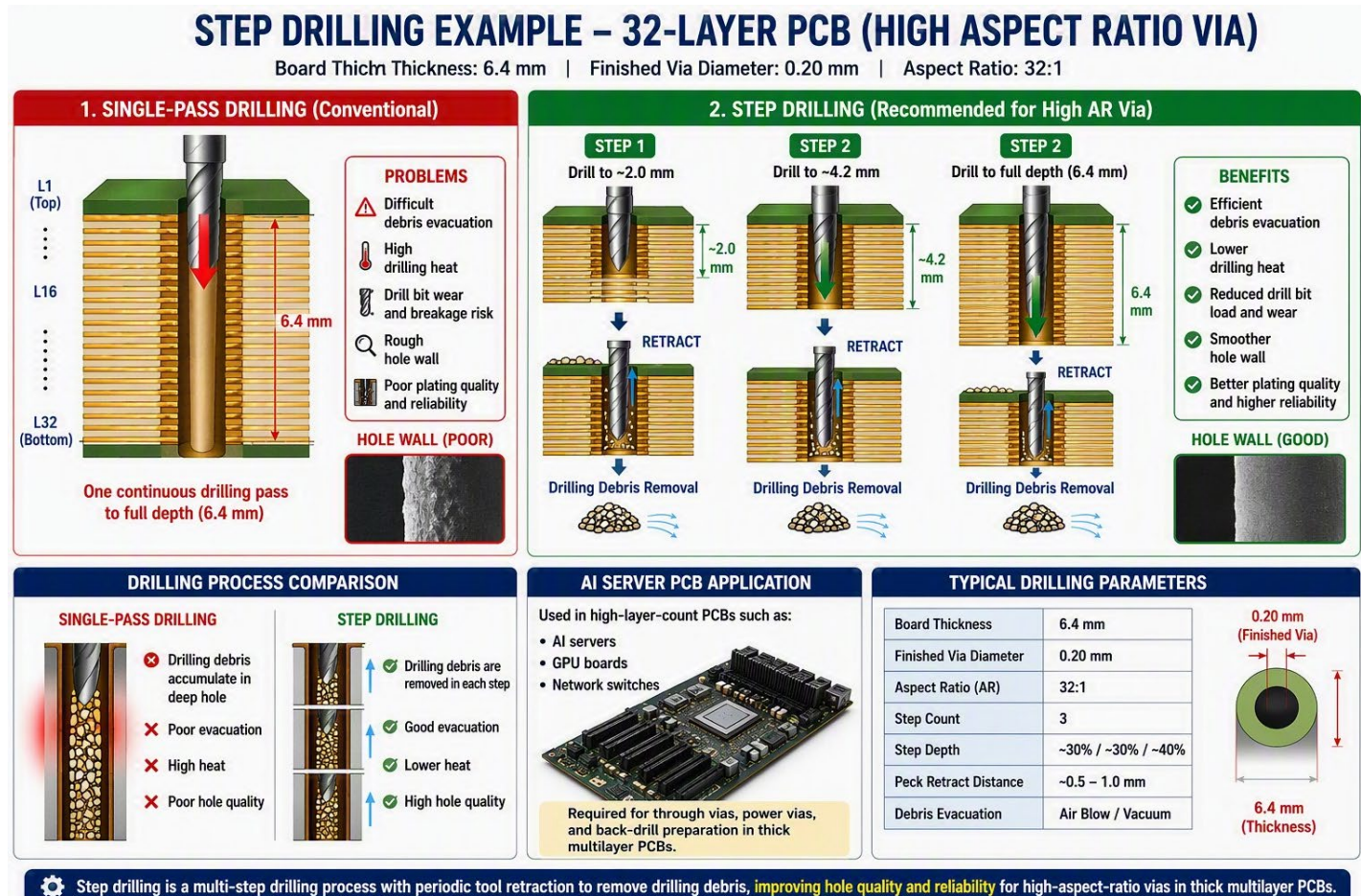


is >6mm, step drilling will firstly use 2mm long drill bits, then switch to a >4mm drill bits and eventually use >6mm drill bits to complete it. Compared to single-pass drilling, step drilling has lower drilling hit and smoother hole wall, and thus, ensures better quality. By adopting step-drilling, the consumption volume of drill bit surges as it require for more than one type of bits in drilling for one single hole.

What is step drilling? Step-drilling is a drilling technique used for thick multilayer boards and high aspect-ratio vias, where the drill bit does not penetrate the entire board thickness in a single pass. Instead, the drill advances in multiple controlled depth increments until the final hole depth is reached

Exhibit 22: Illustration for procedure of step-drilling

Step-drilling is more suitable for HLC PCB



Source: BofA Global Research, company

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CCL material upgrade further raises drill bit consumption

We also see rising demand for drill bits with the upgrade of CCL materials within PCB. With the migration from M7/M8 to M9 materials, the adoption of harder electronic-grade glass-fabric materials and high-performance copper foil has significantly increased the breakage rate of drill bits. Notably, the Q cloth used in M9 materials (to be adopted in Rubin/Rubin Ultra AI servers from 2H26 onwards) has a much higher SiO₂ content (>99.9%). As such, the usable life of coated drill bits drops sharply to only 100–200 holes for M9 CCL, from 500–800 holes for M8 and c.1,000 holes for M7. This translates into **c.5x** demand for drill bits in the next-generation AI servers, vs. the GB200/GB300 era.

Exhibit 23: Comparison of drill bits' useful life in different types of CCL materials

M9 material requires >5x more drill bits compared with M7

	M6	M7	M8	M9
Component	Ordinary electronic cloth + HVLP1 copper foil	1st-generation cloth + HVLP3 copper foil	2nd-generation cloth + HVLP4 copper foil	2nd-generation cloth & Q cloth + HVLP4/5 copper foil + special resin
Typical PCB layer	<20	20-30	30-40	44-78 or higher
Major application	Conventional server, 100G/200G switch, 5G substations	AI server (H100), 400G/800G switch	AI server (GB200/GB300 and above), 800G/1.6T switch	AI server (Rubin and above), 1.6T optical transceiver
Useful life of single drill bit (coated)	2,000	1,000	500-800	100-200

Source: BofA Global Research

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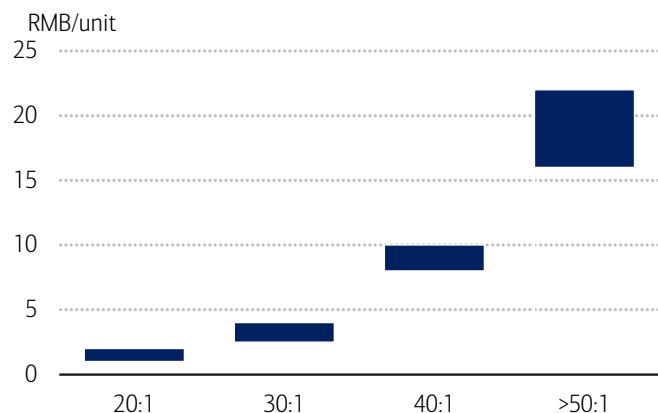
Rising ASP with higher aspect ratio and material upgrade**Higher aspect ratio supports ASP**

The trend towards HDI and HLC has increased PCB thickness while reducing hole diameters, which drives more demand for high-aspect-ratio drill bits. For example, the drill bits used for Rubin/Rubin Ultra AI servers can reach an aspect ratio of up to 50:1, much higher than that of a conventional drill bit (<20:1). The ASP of a high-aspect-ratio drill bit is much higher than that of an ordinary drill bit, given the use of high-precision cemented carbide, sophisticated coating technologies and strict precision and consistency control in the manufacturing process. Currently, the ASP of >50:1 aspect ratio drill bit is c.RMB20/unit, >10x more of a conventional drill bit (RMB1-2/unit).

Dtech's drill bit ASP has continued to rise in the recent quarters, thanks to the rising sales contribution from high-aspect-ratio products, as well as price hikes amid the tight supply. Its ASP (ex-VAT) exceeded RMB2 in July & Aug-2026, up from RMB0.99 in 1Q25, per our estimate. Currently, the high-aspect-ratio drill bits (>30:1) account for >10% of its drill bit shipment. We expect continued rising ASP in the coming quarters, thanks to the rising sales contribution of high-aspect-ratio drill bits with continuing PCB upgrades.

Exhibit 24: Drill bit ASPs by aspect ratio

ASP of a >50:1 drill bit is >10x more than that of a conventional drill bit

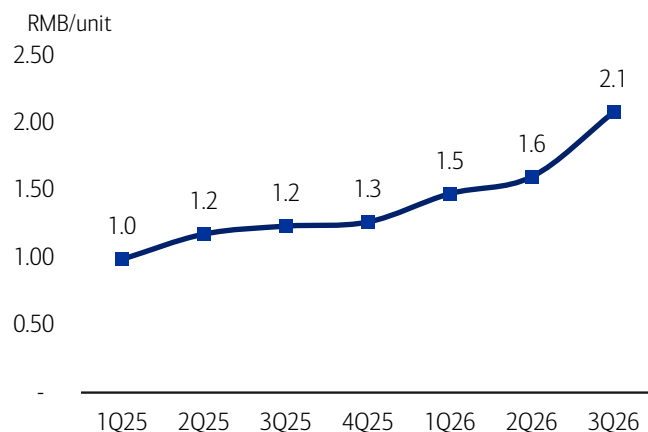


Source: BofA Global Research

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Exhibit 25: ASP of Dtech's drill bit

Dtech's drill bit ASP has continued to rise in recent quarters



Source: BofA Global Research; Dtech; note: 3Q ASP is based on our forecast

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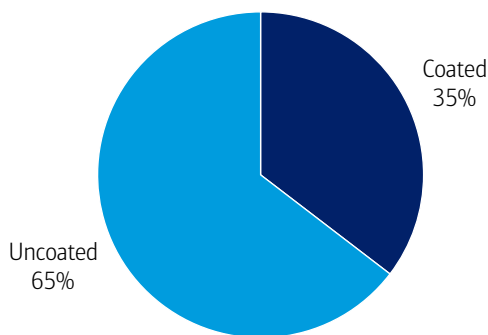


Rising penetration of coated drill bit further boosts unit value

Coated drill bits with coating materials such as TiCN (Titanium CarboNitrile), CVD diamond, DLC (diamond-like Carbon), and ta-C (tetrahedral amorphous Carbon) can significantly enhance the hardness of drill bits and reduce friction loss, offering a longer service life compared with uncoated drill bits. As such, the ASP of a coated drill bit is much higher than that of an uncoated drill bit. For example, the ASP of a CVD diamond-coated drill bit is usually 3-10x more than that of an ordinary uncoated drill bit. In 1H26, coated drill bits accounted for 50% of Dtech's drill bit shipment (in terms of shipment volume), up from 39% in 2025. We expect the penetration of coated drill bit to continue rising in the coming few years thanks to its superior performance in PCB manufacturing, which should further boost the unit value of drill bit.

Exhibit 26: Breakdown of global drill bit market (2025)

Coated drill bits accounted for 35% drill bits market in 2025



Source: Frost & Sullivan

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Exhibit 27: Dtech's CVD diamond-coated drill bits

Coated drill bits offer longer service life



Source: Dtech

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Dtech: global leader in PCB drill bits

Dtech is the largest manufacturer of PCB drill bits globally. According to Frost & Sullivan, it held **29.2%** global market share in PCB drill bits in 2025, ranking No. 1 globally. By August 2026, it has a total production capacity of 180 million units per month (No. 1 globally), and operates the largest PCB-tool coating center worldwide. Dtech now supplies drill bits to >70 of the global top-100 PCB manufacturers, and 9 of the global top-10 PCB manufacturers. Apart from drill bit, it also manufactures (1) milling cutters, specific-PCB tools, and CNC tools used in the electronics/machinery/auto manufacturing; (2) grinding and polishing materials used for PCB production; (3) CNC equipment used for cutting tool manufacturing and storage; and (4) functional film materials. In 2025, revenue from precision cutting tools (including PCB drill bits) totaled RMB1.7bn, contributing 81% of its total revenue, followed by grinding and polishing materials (9%), intelligent CNC equipment (4%), and functional film materials (3%).

Dtech has established strong and stable cooperative relationships with leading PCB manufacturers in China and overseas. Its key customers include Victory Giant, Founder Technology, Shennan Circuits, TTM, Kinwong, Delton Technology, Suntak Technology, and Shengyi. In 2025, Dtech's top-5 customers accounted for 30% of total revenue.

Exhibit 28: Summary of Dtech's major businesses

Precision cutting tools contributed 81% of total revenue in 2025

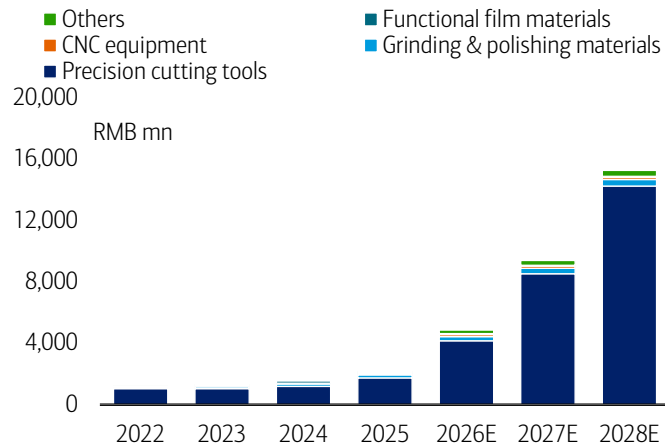
Segment	Revenue contribution (2025)	Major products	End-market	Picture
Precision cutting tool	81%	Drill bit, milling cutter, specific-PCB tools, CNC tools	Electronics (especially PCB), machinery, auto, medical, aerospace	
Grinding and polishing materials	9%	Ceramic abrasive brush, non-woven abrasive brush, nylon abrasive brush, and abrasive belt	PCB	
Intelligent CNC equipment	4%	CNC grinding machine, automatic cutting tool passivation machine, vacuum coating equipment, intelligent storage systems for drill bit	Cutting tool manufacturing/storage	
Functional film materials	3%	Privacy film, automotive light-control film, automotive explosion-proof film, DBEF, COP, ACOP, AR film	Display, auto, home appliance, 3C, industrial control, Mini LED	

Source: BofA Global Research, Dtech

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Exhibit 29: Dtech's revenue by segment

We estimate 85% CAGR for revenue from precision cutting tools

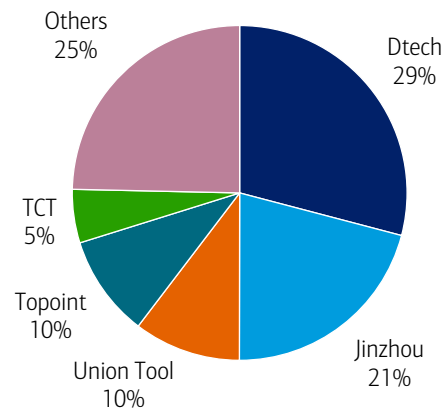


Source: BofA Global Research estimates, Dtech

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Exhibit 30: Global market share of PCB drill bit (2025, by sales volume)

Dtech accounted for 29% of global market share in 2025



Source: BofA Global Research, Frost & Sullivan

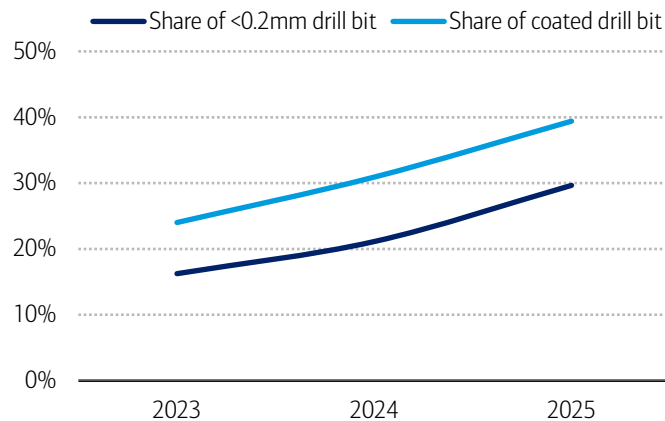
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Wider product offerings; moving towards high-end

Dtech's drill bit products span a full diameter range from mainstream to ultra-small sizes. It has achieved mass production of PCB drill bits ranging from 0.02 mm up to 8.0 mm. In 2025, micro-drills with diameters of <0.2mm accounted for 29.7% of its total sales volume. Dtech has started mass production of 30:1 aspect ratio drill bits, as well as small-batch shipment of 40:1 aspect ratio drill bits in 1H26. It has also mastered the production technology of >50:1 aspect ratio drill bits. Currently, the high-aspect-ratio drill bits (>30:1) account for >10% of its drill bit shipments, which we expect to further rise to >20% by end-2026, thanks to the continuing PCB upgrades.

Exhibit 31: Dtech's sales share of micro-drill and coated drill bits

In 2025, <0.2mm micro-drills accounted for 29.7% of its sales volume

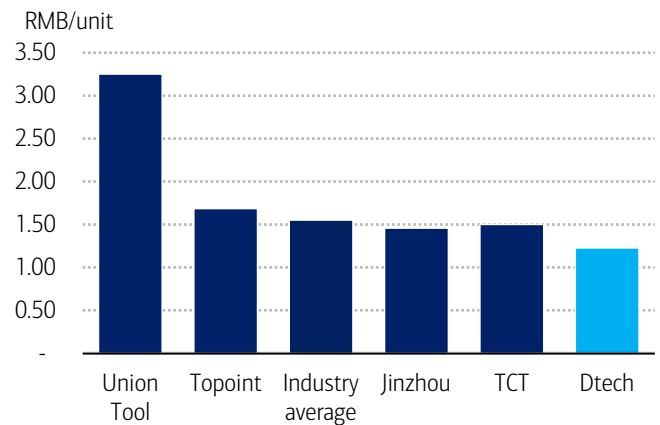


Source: Dtech

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Exhibit 32: ASP comparison of major PCB drill bit makers (2025)

Dtech's ASP is still below the industry average



Source: BofA Global Research, Frost & Sullivan

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Dtech operates the world's largest coating center for PCB drill bits, providing CVD diamond coatings, PVD wear-resistant coatings, and ta-C lubricious coatings tailored to specific use cases, which could significantly improve the drill bits' performance and life cycle. In 2025, coated drill bits accounted for 39.4% of its total shipment. Entering 2026, the contribution of coated drill bits further rose to 50% in 1H26. We expect it to further rise to >60% by end-2026, thanks to rising high-end applications like AI servers. Dtech is also conducting R&D in emerging drill bit technologies such as polycrystalline diamond (PCD) drill bits, which could bring in further value-addition.

Exhibit 33: Dtech's coating technologies

Dtech has developed surface-treatment technologies, including CVD diamond coatings, PVD wear-resistant coatings, and ta-C lubricious coatings

Type	Coating material	Coating hardness	Coefficient of friction	Coating thickness	Usage
CVD coating	Sp ³ -C (diamond)	90±10GPa	c.0.2	8-20 μm	High Tg (glass transition temperature) PCB, ceramic filling board, high thermal conductivity & high-frequency PTFE material, graphite, high-silicon aluminum alloy, etc.
PCA coating	AlCrN-based material	35±5GPa	c.0.4	c.1.5 μm	Ordinary PCB, medium-high Tg PCB, halogen-free PCB
PCM coating	AlCrN-based material	34±5GPa	c.0.4	c.5 μm	Ordinary PCB, ultra-high Tg PCB, ceramic boards, etc.
PCH coating	AlCrN-based material	35±5GPa	c.0.4	c.2 μm	Ordinary PCB, medium-high Tg PCB, halogen-free board, special CCL, etc.
Ta-C coating	ta-C (tetrahedral amorphous Carbon)	60±10GPa	c.0.2	0-0.5 μm	Milling tools: ordinary PCB, metal substrates, medium-high Tg PCB, ceramic filling boards, etc. Drilling bits: ordinary PCB, halogen-free PCB, FPC, metal substrate, packaging board, etc.

Source: BofA Global Research, Dtech

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Comparison with Jinzhou

Jinzhou (a subsidiary of China Tungsten) is the world's second largest manufacturer of PCB drill bits, with 21% global market share in 2025. Compared with Jinzhou, Dtech has a larger production capacity and annual shipment volume of PCB drill bits, with faster capacity ramp-up thanks to its internally developed equipment. On the other hand, Jinzhou has a higher market share in high-end products. It is now capable of producing PCB drill bits with up to 60:1 aspect ratio, and has launched 240:1 products. In 2025, the high-end products (high-aspect-ratio, coated, ultra-small-diameter) accounted for >50% of its sales. As a result, its ASP in 2025 (RMB1.46 per unit) was higher than Dtech's (RMB1.23 per unit). That said, Dtech is rapidly catching up in high-end products with higher value-added. We expect Dtech to gradually narrow the ASP gap with Jinzhou in the coming 1-2 years.

Exhibit 34: Comparison of Dtech and Jinzhou

Dtech has a larger scale vs. Jinzhou, while Jinzhou has a higher ASP

	Dtech	Jinzhou
Diameter (mm)	0.02-8.00	0.01-6.50
Aspect ratio	up to 60:1 (batch supply up to 40:1)	up to 240 (batch supply up to 63:1)
Production capacity (mn unit/month, 2026E)	220	140
Sales volume (mn unit, 2025)	1,126	810
ASP (RMB/unit, 2025)	1.23	1.46

Source: BofA Global Research, Frost & Sullivan, company reports

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Comparison with Topoint/Union Tool

Topoint (Taiwan)/Union Tool (Japan) ranked No. 3/No. 4 in global PCB drill bit shipment in 2025. Topoint's products are mainly sold in Mainland China (58% in 2025) and Taiwan (37%), while Dtech primarily serves the mainland China (91% in 2025). Topoint's high-end coated drill bits contributed 52% of total shipments in 4Q25. On the other hand, Union Tool mainly focuses on high-end products, with technology leadership in <0.025mm ultra-small-diameter drill bits and specialized micro-drills for IC substrates. As such, it has a much higher ASP than its peer companies.

Faster-than-peers' capacity addition on surging demand

The supply of drill bits has been tight in recent quarters, due to surging demand from AI servers coupled with limited supply. Against this backdrop, major drill bit producers have hiked prices because of the tight supply and upstream cost pressures: Dtech has raised PCB drill bit prices by >10% in 1H26; Shareate Tools has also implemented >20%/>35% price hikes for ordinary/high-end drill bits in 1H26. Looking ahead, we expect the tight supply-demand to persist in 2026-28, especially for the high-aspect-ratio drill bits (>30:1), given (1) exponential demand growth for PCB drill bits driven by the ramp-up of HDI/HLC and CCL material evolution; and (2) limited players and capacity for high-end PCB drill bits. This could further support the prices of drill bits in the coming 1-2 years.

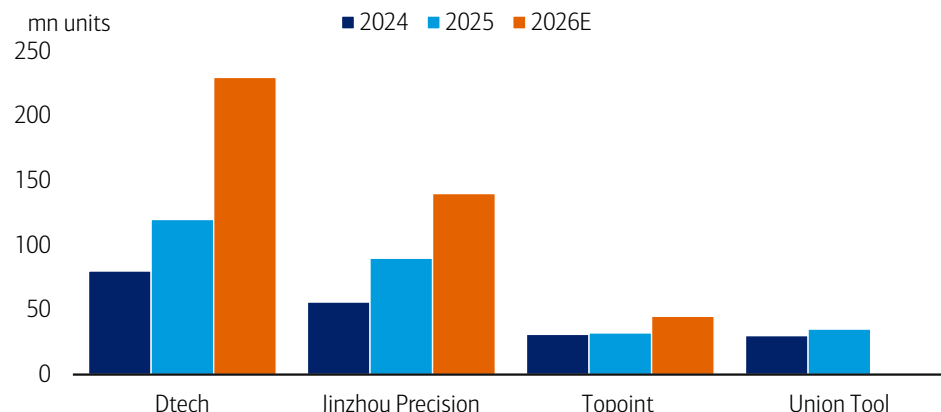
In response to the surging demand from AI PCB, leading players in the PCB drill bit industry are rapidly expanding their production capacity. We estimate the total production capacity of the global top-4 players to grow >60% YoY by end-2026. Of



these, Dtech could see the fastest growth in production capacity (nearly double YoY) by end-2026, which would enable it to further gain market share from its peers.

Exhibit 35: Production capacity of the global Top-4 drill bit suppliers

Dtech is expanding production capacity at a faster-than-peers' pace



Source: Companies, BofA Global Research estimates

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- Dtech:** Dtech has ramped up its total production capacity to 160 million units/month by June 2026. Looking ahead, it targets c.10 million units/month capacity addition in 2026, reaching c.220 million units/month by end-2026. It also targets c.15 million units/month capacity addition in 2027.
- Jinzhou:** Jinzhou has announced four rounds of capacity expansion over the past year, with a total capacity addition of c.40 million units/month. This could bring its total production capacity to c.140 million units/month by end-2026.
- Topoint:** Topoint held 32 million units/month production capacity by end-2025. It plans to ramp up production capacity to 35 million units/month by 2Q26 and 45 million units/month by end-2026.
- Union Tool:** Union Tool's production capacity stood at around 35 million units/month by end-2025, we estimate. It is now expanding production capacity at an "unprecedented scale and speed" to meet the rising demand from AI PCB.

Expanding global footprint

Overseas business accounted for 9.2% of Dtech's total revenue in 2025, including 8.3% from Asia (notably Taiwan) and 0.8% from Europe. Looking ahead, it targets to further expand business in Southeast Asia, Japan, Korea, and Europe. It has now established an overseas PCB drill bit plant in Thailand, mainly targeting the Southeast Asia production bases of Chinese PCB makers, with 4 million units/month production capacity by 1Q26. The company targets to ramp up production capacity to 15 million units/month by end-2026. Dtech also acquired **MPK Kemmer**, a Germany-based manufacturer of micro-drills in 2025. MPK Kemmer's products are mainly focused on >0.2mm high-end micro-drills, which are supplied to European/US/Japanese customers. Dtech targets to expand its market share in Europe by leveraging MPK Kemmer's R&D, production, sales, and services capabilities.

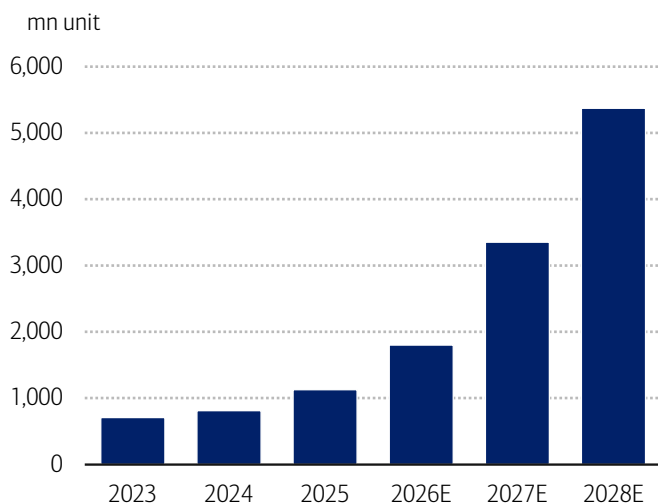
Expect 96% sales CAGR of drill bit in 2026-28

We expect Dtech's revenue from drill bits to see rapid growth in the coming two years, thanks to (1) rapid demand growth of drill bits in the coming 2-3 years on surging PCB demand from AI servers, rising adoption of HDI and HLC, and CCL material upgrades; (2) its fast capacity addition to meet the surging drill bits demand; and (3) rising ASP amid product mix improvement (more high-aspect-ratio and coated products) and the sustained tight supply. We estimate Dtech's 2026-28 drill bit shipment CAGR at 73%, reaching 5.4 billion units by 2028. We also expect its drill bit ASP to reach RMB2.35/unit

by 2028 (vs. RMB1.22 in 2025), representing a 13% CAGR in 2026-28E. As such, we expect 2026-28 drill bit revenue CAGR of 96%, reaching RMB13bn by 2028E.

Exhibit 36: Dtech's drill bit shipment volume

We expect Dtech's 2026-28 drill bit shipment CAGR at 73%

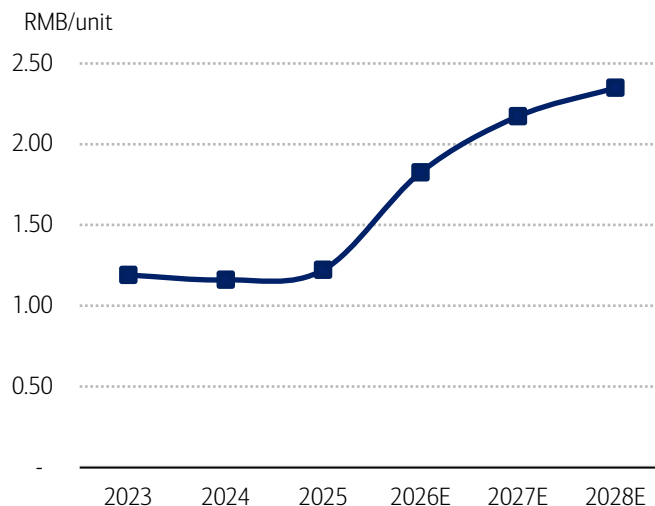


Source: BofA Global Research estimates, Dtech

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Exhibit 37: Dtech's drill bit ASP

We expect Dtech's drill bit ASP to reach RMB2.35/unit by 2028



Source: BofA Global Research estimates, Dtech

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In-house machine tool supports fast capacity ramp-up

Dtech develops around 95% of its manufacturing equipment for drill bits in-house, including grinding machines, slotting machines, vacuum coating equipment, and intelligent storage systems for drill bits. It also has in-house development of key components, including spindles, castings, and linear guides. Its internally developed machine tools can achieve machining accuracy of 0.001mm, which provides competitive alternatives to imported equipment from Germany and Switzerland. It also helps shorten the capacity expansion period to around 3 months, much shorter than the 8-12 months of its major competitors, enabling it to rapidly gain market share amid the tight supply.

Exhibit 38: Dtech's internally developed grinding machine

Dtech develops major manufacturing equipment in-house



Source: Dtech

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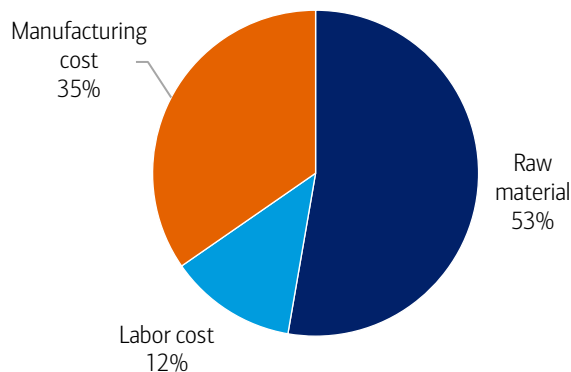
GPM intact despite Tungsten price hike

In 2025, raw materials (tungsten steel, stainless steel wire etc.) accounted for 53% of Dtech's PCB drill bit COGS, while manufacturing costs 35%. Tungsten steel is the core raw material for PCB drill bits, which are mainly made from Tungsten Carbide (WC, 80-90% cost contribution) and cobalt powder. Dtech's major suppliers of Tungsten steel include **Sumitomo Electric** (Japan), **China Tungsten**, and **Xiamen Tungsten**. Dtech started to seek import substitution of raw materials from 2018. Currently, 60-70% of its Tungsten steel is sourced from Chinese suppliers.

Tungsten price has surged sharply since 2H25 due to rising demand from AI PCB (WC) and semiconductor (WF₆), coupled with supply constraints (notably China's production and export control). As such, the price of WC rose to >RMB2,000/kg in 1Q26, from <RMB500/kg in 1H25. That said, Dtech's GPM has remained intact YTD, and even expanded QoQ from 46% in 4Q25 to 53% in 1Q26, given: (1) Dtech is able to fully pass through the upstream cost pressure to its customers given its strong market position and small percentage (1-3% only) of its products in the PCB COGS. The company has completed two rounds of price hikes YTD; (2) the rising ASP from product mix upgrade could offset the impact of higher material costs; and (3) Dtech can lower the unit manufacturing costs with scale effect and improved yield rate. As such, we believe Dtech can maintain a >50% GPM in the coming quarters despite the upstream cost pressure.

Exhibit 39: Dtech's COGS breakdown for PCB drill bit (2025)

Raw materials accounted for 53% of total COGS

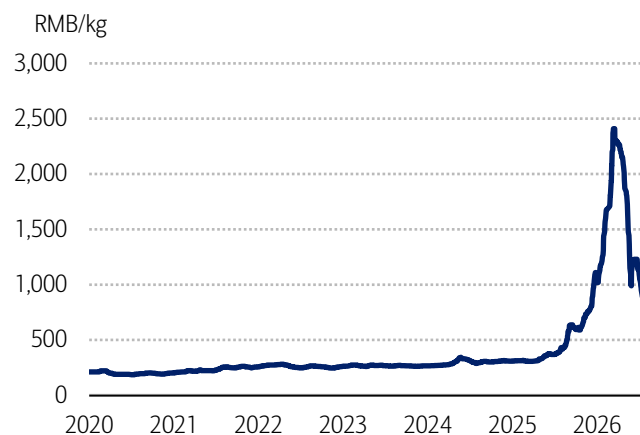


Source: Dtech

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Exhibit 40: Price trend of Tungsten Carbide (WC) powder

WC price has surged sharply since 2H25



Source: BofA Global Research estimates, Wind

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Tungsten export control brings opportunities for further share gain

Japanese cemented carbide and cutting tool companies are facing a shortage of raw materials due to China's export control. So far, Dtech's tungsten steel supply from Japanese suppliers has been unaffected, as key suppliers such as Sumitomo Electric will prioritize the material supply to Dtech given its strong market position. Meanwhile, Dtech is able to secure its tungsten steel supply from various Chinese suppliers. We also see opportunities of further market-share gains for Dtech, given its Japanese peers such as Union Tool could face greater supply shortages of upstream materials.

90% earnings CAGR in 2026-28E

Dtech's revenue growth started to pick up in 4Q25, thanks to the strong end-demand from AI servers, as well as continued rise in ASP, thanks to the improved product mix and tight supply. Revenue in 2Q26 was up 135% YoY/39% QoQ to RMB1.1bn. Revenue from PCB drill bits more than doubled YoY to RMB656mn, with 100% YoY shipment growth and 36% YoY ASP growth. Revenue from other cutting tool products (milling cutters, specific-PCB tools, CNC tools) also surged by 218% YoY in 2Q26.

Looking ahead, we expect Dtech to deliver 77% revenue CAGR in 2026-28, mainly supported by the solid growth of its PCB drill bit business. We expect PCB drill bits to contribute 83% of total revenue by 2028, up from 64% in 2025.

- **Precision cutting tools:** Dtech's precision cutting tool business mainly includes PCB drill bits (70% revenue contribution in 2Q26) and other cutting tool products (milling cutters, specific-PCB tools, CNC tools, etc.; 30% revenue contribution in 1Q26). We expect 96% revenue CAGR for its **drill bits** in 2026-28, reaching RMB13bn by 2028E, thanks to the rapid shipment growth amid the AI uptrend, as well as the continuous ASP increase. We also expect 36% revenue CAGR for its other cutting tool products in 2026-28, mainly supported AI-related demand from PCB/optical/power supply, as well as the FA upcycle.
- **Grinding & polishing materials:** Dtech's grinding & polishing materials mainly include ceramic and non-woven brushes used for HLC, HDI, and IC substrates. We expect 25% revenue CAGR in 2026-28, as the life cycles of these products are relatively long, and thus the volume growth would be slower than that of drill bits.

Exhibit 41: Dtech's revenue/GPM breakdown by segment

Expect precision cutting tools business to deliver strong growth in 2026-28

(RMB mn)	2022	2023	2024	2025	2026E	2027E	2028E
Consolidated sales	1,219	1,320	1,580	2,144	4,856	9,389	15,262
Gross profit	472	481	565	908	2,798	5,556	9,247
Operating profit	257	220	266	508	2,013	4,104	7,066
Investment income	0	9	7	5	3	4	4
Pre-tax profit	246	248	258	492	1,959	4,125	7,086
Income tax	23	29	30	60	280	601	1,047
Tax rate	9.5%	11.6%	11.8%	12.2%	14.3%	14.6%	14.8%
Net income before minority	223	219	227	432	1,679	3,524	6,039
Net income	223	219	227	434	1,682	3,526	6,041
Net income (adj, for one-off items)	798	784	860	950	1,682	3,526	6,041
EBITDA	343	328	397	658	2,243	4,399	7,425
Per share data (RMB)							
EPS	0.543	0.535	0.553	1.058	3.965	8.316	14.247
BVPS	5.34	5.66	6.04	6.46	19.05	23.99	31.59
DPS	0.07	0.15	0.48	0.90	3.37	6.65	11.40
Growth (%)							
Sales growth (%)	-0.3%	8.3%	19.6%	35.7%	126.5%	93.4%	62.5%
Gross profit growth (%)	0.0%	1.9%	17.6%	60.5%	208.3%	98.6%	66.4%
Operating profit growth (%)	-10.7%	-14.4%	21.0%	91.3%	296.1%	103.9%	72.2%
Net income growth (%)	-6.2%	-1.6%	3.5%	91.1%	287.8%	109.7%	71.3%
EPS growth (%)	-17.7%	-1.6%	3.5%	91.1%	274.9%	109.7%	71.3%
EBITDA growth (%)	-7.2%	-4.3%	20.8%	66.0%	240.8%	96.1%	68.8%
Key ratio							
GPM	38.7%	36.4%	35.8%	42.3%	57.6%	59.2%	60.6%
Op. margin	21.1%	16.6%	16.8%	23.7%	41.4%	43.7%	46.3%
NPM	18.3%	16.6%	14.4%	20.1%	34.6%	37.5%	39.6%
EBITDA margin	28.1%	24.9%	25.1%	30.7%	46.2%	46.8%	48.6%
ROE	14.3%	9.7%	9.5%	16.9%	31.4%	38.6%	51.3%
Payout ratio	12.9%	28.0%	86.7%	85.1%	85.0%	80.0%	80.0%
OPEX to sales	17.7%	19.8%	19.0%	18.6%	16.2%	15.5%	14.3%

Source: BofA Global Research estimates, Dtech

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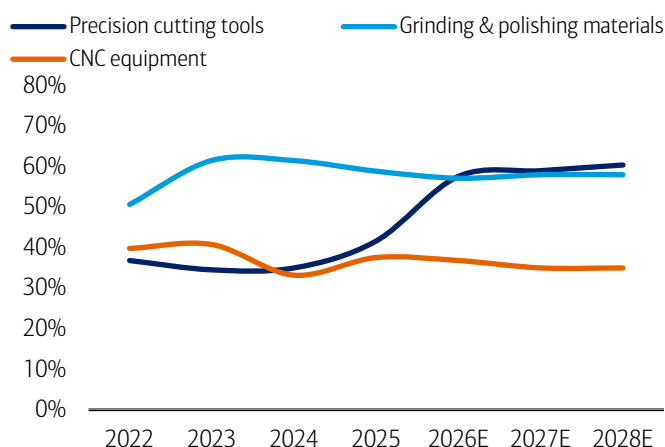
Rising GPM ahead amid improved product mix

Dtech's GPM was relatively stable in 2022-24 at 35-39% but increased to 42% in 2025, mainly due to the GPM expansion of its precision cutting tools business. The GPM of its precision cutting tools increased significantly from 34-37% in 2022-24 to 42% in 2025, and further to 58% in 2Q26, thanks to: (1) improved product mix with higher sales contribution of coated drill bits and <0.2mm micro-drills (9%/11% price premium to ordinary drill bits in 2025); and (2) scale effect. On the other hand, the GPM of its functional film materials business was still under pressure in 2025, due to ASP pressure and increased overheads amid sales volume decline.

Looking ahead, we estimate Dtech's GPM to improve to 58%/59%/61% in 2026/27/28, mainly supported by the continued product mix improvement of its PCB drill bits. We expect the shipment contribution of high-aspect-ratio drill bits (>30:1) to reach >30% in 2028, up from >10% in 2Q26. We also expect the sales contribution of coated drill bits to reach >60% from 2026 onwards, from 39% in 2025. This could lead to continued GPM expansion of its precision cutting tools, from 42% in 2025 to 61% in 2028E. We also expect continuous GPM recovery for functional film materials business in 2026-28, with the gradual recovery of shipment volumes.

Exhibit 42: Dtech's gross profit margin by segment

We expect blended GPM to improve in 2026-28

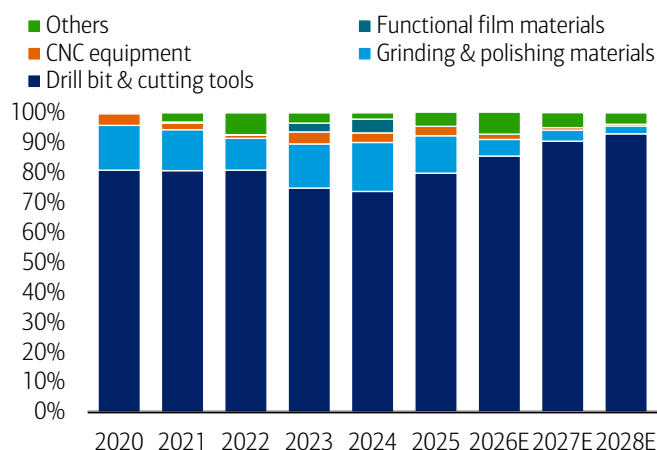


Source: BofA Global Research estimates, Dtech

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Exhibit 43: Dtech's gross profit breakdown by segment

We estimate % of gross profit from precision cutting tools to reach 93% in 2028E



Source: BofA Global Research estimates, Dtech

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90% earnings CAGR over 2026-28E

Dtech's 2025 net profit increased 91% YoY to RMB434mn. Its 2Q26 net profit came in at RMB419mn (+380% YoY), representing 97% of its net profit in full-year. In 2Q26, its opex ratio declined to 12.0% from 17.9% in 2025, thanks to the scale effect amid the rapid sales expansion of its PCB drill bits business. Looking ahead, we see 90% earnings CAGR in 2026-28, mainly supported by continued revenue growth and GPM expansion amid the AI uptrend. As such, we expect its net income to reach RMB6bn in 2028.

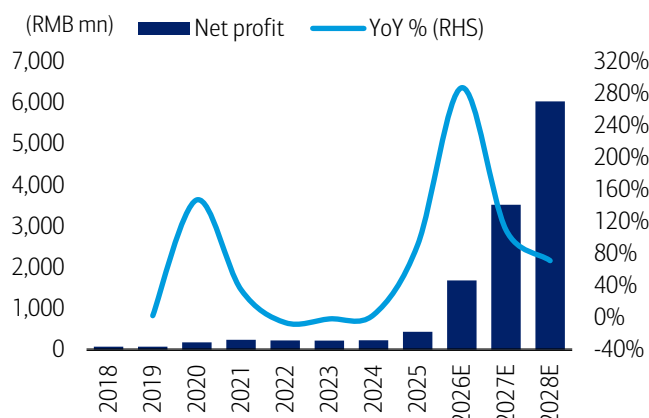
Dtech's net margin improved to 20.2% in 2025 (vs. 14.4% in 2024). We estimate it to further increase to 40% by 2028E, driven by 1) improving revenue structure with higher % of contribution from high-end products with higher margin; and 2) enhancing scale advantage with OPEX/revenue ratio down to 14.3% in 2028E (vs. 18.6% in 2025).

Thanks to the resilient earnings growth, Dtech's ROE improved significantly to 16.9% in 2025 (vs. 9.5% in 2024). Looking ahead, we estimate its ROE to further expand to 38.6% in 2027E given its high earnings growth visibility.



Exhibit 44: Dtech's net profit and growth

We expect 90% earnings CAGR over 2026-28

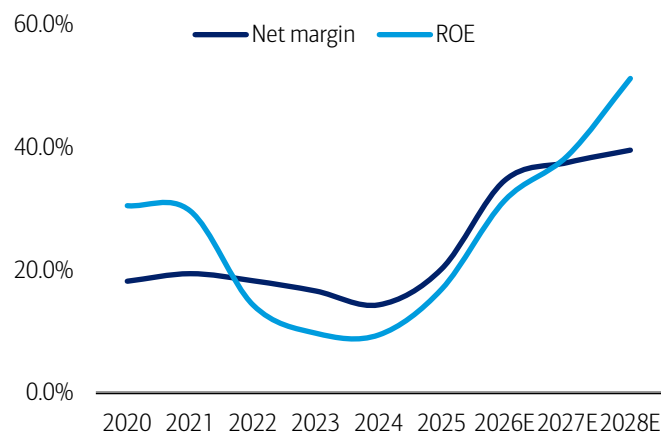


Source: BofA Global Research estimates, Dtech

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Exhibit 45: Dtech's net margin and ROE

We estimate net margin to increase to 40% in 2028E



Source: BofA Global Research estimates, Dtech

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Exhibit 46: Dtech's quarterly P/L

We expect 275% YoY earnings growth in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Revenue	423	481	553	686	2,144	814	1,129	1,356	1,557	4,856
Total cost of goods sold	262	287	316	371	1,236	381	476	563	639	2,058
Gross profit	161	194	237	316	908	434	653	793	918	2,798
Op taxes and surcharges	3	4	5	5	17	4	6	11	11	33
Selling & marketing	18	21	21	28	88	25	31	50	59	165
G&A	29	35	38	57	159	53	56	92	125	325
R&D	27	31	32	46	136	41	49	75	98	262
Operating expenses	77	90	96	136	400	123	142	228	293	785
Operating income	84	104	142	179	508	311	511	565	625	2,013
Investment income	2	1	2	1	5	1	1	1	1	3
Pretax income	81	98	139	173	492	302	487	555	615	1,959
Taxes or tax credit	9	12	17	22	60	42	69	80	89	280
Profit before minority	72	87	122	151	432	260	418	475	526	1,679
Minority interest	0	0	-1	-1	-2	0	-1	-1	-1	-3
Net income	73	87	123	151	434	261	419	475	527	1,682
EPS (RMB)	0.18	0.21	0.30	0.37	1.06	0.61	0.99	1.12	1.24	3.97
Number of shares (mn)	410	410	410	410	410	424	424	424	424	424
Operating Ratios										
Gross margins	38.0%	40.3%	42.9%	46.0%	42.3%	53.3%	57.8%	58.5%	59.0%	57.6%
Selling & marketing	4.3%	4.3%	3.7%	4.1%	4.1%	3.0%	2.8%	3.7%	3.8%	3.4%
G&A	6.8%	7.2%	7.0%	8.3%	7.4%	6.5%	4.9%	6.8%	8.0%	6.7%
R&D	6.3%	6.4%	5.8%	6.7%	6.3%	5.0%	4.3%	5.5%	6.3%	5.4%
Operating margin	19.8%	21.5%	25.6%	26.1%	23.7%	38.2%	45.3%	41.7%	40.2%	41.4%
Pre-tax margin	19.2%	20.5%	25.1%	25.2%	22.9%	37.1%	43.2%	40.9%	39.5%	40.3%
Tax rate	11.4%	11.8%	12.1%	12.9%	12.2%	13.8%	14.3%	14.4%	14.5%	14.3%
Net margin	17.0%	18.0%	22.1%	22.0%	20.1%	32.0%	37.0%	35.0%	33.8%	34.6%
YoY %										
Revenue	27.2%	26.6%	32.9%	52.1%	35.7%	92.3%	134.7%	145.2%	126.9%	126.5%
Gross profit	43.3%	44.0%	53.4%	92.6%	60.5%	169.2%	236.9%	234.5%	190.9%	208.3%
Operating income	94.5%	81.8%	56.7%	138.0%	91.2%	271.2%	393.6%	299.2%	249.0%	296.1%
Net income	78.4%	80.9%	47.1%	176.8%	91.1%	259.1%	380.1%	287.9%	248.3%	287.8%
EPS	78.4%	80.9%	47.1%	176.8%	91.1%	247.2%	364.2%	275.0%	236.7%	274.9%
QoQ %										
Net revenues	-6.2%	13.6%	15.0%	24.1%		18.6%	38.6%	20.1%	14.8%	
Gross profit	-1.7%	20.4%	22.3%	33.1%		37.4%	50.6%	21.5%	15.7%	
Operating income	11.3%	23.6%	36.7%	26.6%		73.6%	64.3%	10.6%	10.7%	
Net income	32.7%	20.1%	40.6%	23.5%		72.2%	60.6%	13.6%	10.9%	
EPS	32.7%	20.1%	40.6%	23.5%		66.5%	60.6%	13.6%	10.9%	

Source: BofA Global Research estimates, Dtech

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Balance sheet and cash flow

Strong balance sheet since listing

Dtech's cash conversion cycle has remained at around 4-6 months in recent years, with AR days standing at 200. Dtech maintains 1-3 months of raw material inventory, mainly for tungsten steel materials. Its net gearing ratio is also low at single digit in 2025.

Looking ahead, we see limited cash-collection risk for Dtech over 2026-28, given the strong financial positions of its key customers (mainly PCB manufacturers). We also expect its cash-conversion cycle to shorten to 2-3 months over 2027-28, thanks to the rising sales contribution of drill bits, which have shorter cash-collection periods.

Exhibit 47: Dtech's cash-conversion cycle

Expect Dtech's cash-conversion cycle to shorten in 2027-28

	2022	2023	2024	2025	2026E	2027E	2028E
AR days	172	199	194	208	168	173	154
Inventory days	153	148	140	171	157	166	134
AP days	144	165	187	240	249	260	228
Cash conversion cycle (days)	182	182	147	139	76	79	60

Source: BofA Global Research estimates, Dtech

BofA GLOBAL RESEARCH

Exhibit 48: Dtech's balance sheet

We expect cash balance to maintain robust 2026-28, with the sales ramp-up of PCB drill bits

(RMB mn)	2022	2023	2024	2025	2026E	2027E	2028E
Total Assets	2,936	3,179	3,521	4,538	10,557	13,972	18,222
Current Assets	1,782	1,966	2,161	2,751	7,997	10,904	14,708
Cash & ST Investment	862	745	837	816	4,738	4,580	5,937
Inventories	314	340	389	580	886	1,739	2,216
Accounts Receivable	574	720	840	1,221	2,238	4,450	6,422
Others	32	162	95	134	134	134	134
Other Assets	1,154	1,213	1,360	1,787	2,560	3,069	3,514
LT Investments	0	0	0	0	3	7	11
Net fixed Assets	828	928	1,070	1,314	2,102	2,626	3,086
Others	326	285	290	473	455	436	416
Total Liabilities	746	860	1,041	1,889	2,482	3,803	4,836
Current Liabilities	499	653	886	1,654	2,247	3,568	4,600
Accounts Payable	294	379	520	813	1,406	2,727	3,760
ST Borrowings	116	180	233	518	518	518	518
Others	90	94	133	322	322	322	322
Long-term Liabilities	248	207	155	235	235	235	235
Long-term Debts	136	81	23	75	75	75	75
Others	111	126	132	160	160	160	160
Shareholders' Equity	2,189	2,320	2,479	2,649	8,074	10,169	13,386
Paid-in Capital	410	410	410	410	4,538	4,538	4,538
Capital Surplus	1,081	1,095	1,120	1,164	1,164	1,164	1,164
Retained Earnings	698	813	944	1,067	2,367	4,464	7,684
Capital Adjustment	0	1	3	7	7	7	7
Minority interest	1	1	3	1	-2	-5	-7

Source: BofA Global Research estimates, Dtech

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Capex likely to pick up in 2026-28

Dtech has established three production bases in Dongguan (Guangdong) and Nanyang (Henan), with two overseas production bases in Thailand and Germany. Dtech is now expanding its production capacity in Dongguan, Nanyang, and Thailand to meet the surging demand for PCB drill bits. Notably, it announced to invest RMB5bn in expanding its production capacity of micro-drills, high-end cutting tools, and high-performance film materials at its Dongguan production base in March 2026. The investment will be in three phases, with RMB2bn/2bn/1bn total investment for each phase. As such, we expect its capex to increase to RMB1.0bn/0.8bn/0.8bn in 2026/27/28, up from RMB518mn in 2025.

Exhibit 49: Dtech's Capex plan

Dtech will maintain a net-cash position in 2026-28E

(RMB mn)	2022	2023	2024	2025	2026E	2027E	2028E
Capex	233	234	275	518	1,000	800	800
Operating cash flow	156	182	273	291	1,175	2,071	4,978
Net debt/equity	Net cash	2%	1%	7%	Net cash	Net cash	Net cash

Source: BofA Global Research estimates, Dtech

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To finance its rapid capacity expansion, Dtech completed its H-share IPO in July 2026. Dtech issued 12.6 million H-shares for its H-share IPO (3% of its post-IPO total shares outstanding), in order to support its PCB drill bit capacity expansion in China and overseas, as well as its R&D and potential M&A in the field of AI/semis supply chain and humanoid robot components. The total net proceeds for its H-share IPO was HK\$4.7bn (RMB4.1bn).

Exhibit 50: Dtech's cash flow statement

Dtech completed its H-share IPO in 2026

(RMB mn)	2022	2023	2024	2025	2026F	2027F	2028F
Operating Cash Flow	156	182	273	291	1,175	2,071	4,978
Net Profit	223	219	227	432	1,679	3,524	6,039
Depreciation & Amortization	86	109	131	150	230	295	359
Change in Working Capital	-169	-163	-105	-295	-731	-1,744	-1,416
Others	16	17	20	4	-3	-4	-4
Investment Cash Flow	-343	-758	-221	-303	-1,000	-800	-800
Net CAPEX	-233	-234	-275	-518	-1,000	-800	-800
Change in LT Investment	-110	-525	54	215	0	0	0
Change in Other Assets	0	0	0	0	0	0	0
Free Cash Flow	-186	-576	52	-12	175	1,271	4,178
Financing Cash Flow	1,010	-88	-77	120	3,746	-1,429	-2,821
Change in Share Capital	1,069	0	1	0	4,128	0	0
Net Change in Debt	-83	9	-5	338	0	0	0
Change in Other LT Liab.	24	-97	-73	-218	-382	-1,429	-2,821
Other cash item	0	0	0	-2	0	0	0
Net Cash Flow	824	-665	-26	106	3,922	-158	1,357

Source: BofA Global Research estimates, Dtech

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Company Background

Exhibit 51: Dtech's company history

Dtech was established in 2013 and was listed on the Shenzhen Stock Exchange in 2022

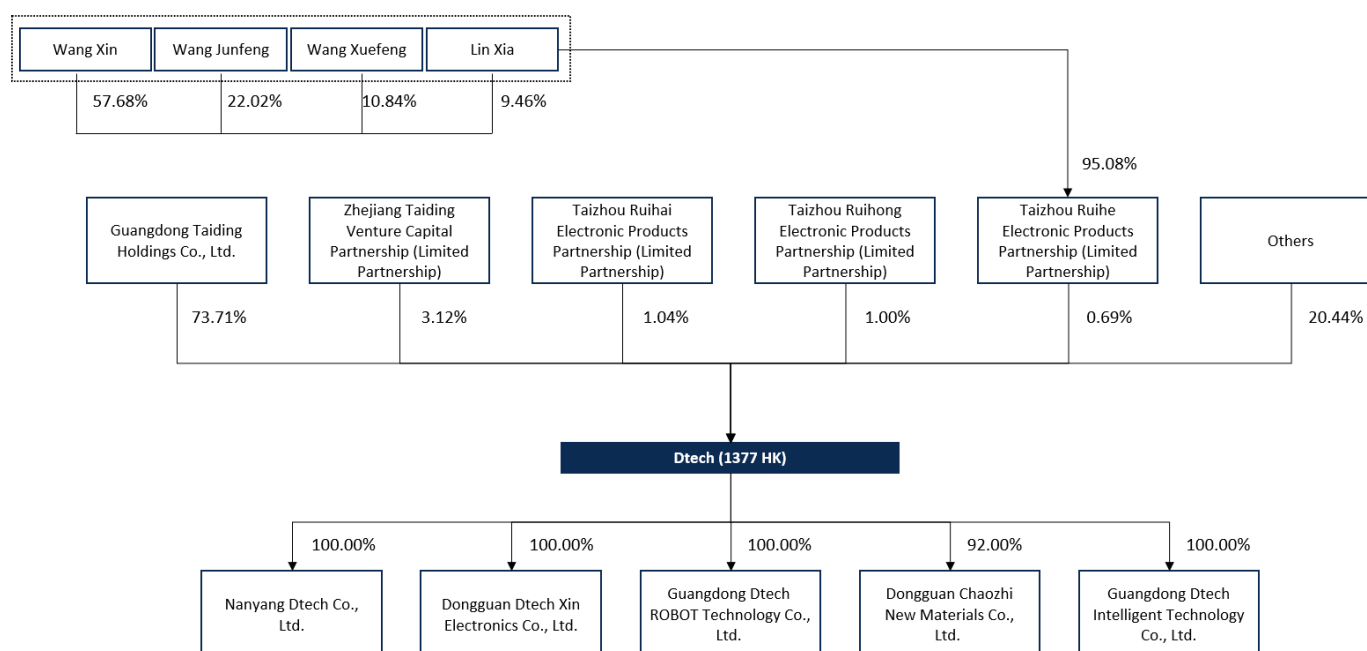
Year	Event
2013	The predecessor of Dtech, Dongguan Fengdao Precision Cutting Tools Co., Ltd., was established
2017	Nanyang Dtech Technology Co., Ltd. (key subsidiary) was established
2020	Established Central China production base in Nanyang
2021	Established headquarters building in Dongguan
2022	Listed on the Shenzhen Stock Exchange
2023	Expanded into overseas markets; established subsidiary in Vietnam
2024	Established Thailand production base
2025	Acquired MPK Kemmer, a PCB drill manufacturer in Germany; enter into humanoid robot industry

Source: Company report

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Exhibit 52: Dtech's shareholding structure (after H-share IPO)

Ms. Wang Xin and persons acting in concert jointly hold >75% stake



Source: Company report, BofA Global Research * Note: Wang Xin, Wang Junfeng, Wang Xuefeng and Lin Xia are persons acting in concert.

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Exhibit 53: Dtech's management team

Ms. Wang Xin is the Chairperson and General Manager of Dtech

Name	Age	Position	Background
Wang Xin	53	Chairperson and General Manager	Ms. Wang has been the chairperson and general manager of Dtech since 2020. She is primarily responsible for the company's strategic planning and overall operational management. From 1989 to 1997, Ms. Wang successively served as an employee of Kaida Industrial Toy Factory, workshop supervisor at Baijia Electronic Toy Factory, and later worked as an accountant at Jiangmen Yangshi Multilayer Circuit Board Co., Ltd. After she started the business in 1997, Ms. Wang was responsible for Dtech's electronic materials distribution business and served as deputy general manager of Ding Tai Xin Electronics, before holding executive director positions in several core subsidiaries. She holds an MBA degree at Peking University.
Wang Junfeng	48	Director and Vice President	Mr. Wang has been the director and vice president of Dtech since 2020. He is primarily responsible for the Company's development of the research projects. From 2013 to 2020, he successively held management positions at Dtech and its affiliated companies. He holds an EMBA degree at Fudan University.
Lin Xia	54	Director and Vice President	Mr. Lin has been the director and deputy general manager of Dtech since 2020. He currently also serves as director of several subsidiaries. From 1995 to 2017, he successively served as an engineer, deputy manager of the sales department, and manager of the marketing department at Guangdong Shengyi Technology Co., Ltd. From 2018 to 2020, he successively held management positions at Dtech and its affiliated companies.
Wang Xuefeng	57	Director	Mr. Wang has been the director of Dtech since 2020 and vice president since 2025. From 1990 to 1992, he successively worked as a mechanical maintenance apprentice and technician at Baijia Electronic Toy Factory. After starting the business in 1997, he served as manager of Dongguan Houjie Dtech Electronic Materials Distribution Department from 2000 to 2002. From 2002 to 2020, he successively held management positions at Dtech's affiliated companies.
Xu Hui	45	CFO	Mr. Xu has been the CFO of Dtech since 2020. Prior to joining the Group, Mr. Xu served the financial director at Best Choice Pharmaceutical (Hong Kong) Limited from April 2011 to March 2014.
Zhou Wenying	46	Vice President and Board Secretary	Ms. Zhou has been the vice president and board secretary since 2020. From 2006 to 2007, she served as assistant supervisor of business operations at Dongguan Rijin Wire Co., Ltd. From 2007 to 2013, she successively served as assistant supervisor of sales operations and assistant to the manager at Dongguan Ding Tai Xin. From 2013 to 2020, she served as executive assistant at Dtech.
Xiao Mingliang	36	Vice President	Mr. Xiao has been the deputy general manager since 2025. He joined Dtech in 2024 and served as head of strategic investment. He used to serve as head of the TMT team at Guangzhou Guangzheng Hang Seng Securities Research Institute Co., Ltd., media sector analyst at CITIC Securities Research Institute, and head of research at the Guangzhou Business Headquarters of Huaneng Guicheng Trust Co., Ltd.

Source: Company report, BofA Global Research

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Appendix

HDI and HLC: high-end PCB used in AI servers

HDI and HLC (MLPCB) are two types of typical high-end rigid PCBs adopted in AI server systems. Currently, the former has a higher adoption rate in GPU-based AI servers, while the latter is more welcomed by ASIC-based solutions, we believe. Looking ahead, our Greater China Technology team expects both PCB types to co-exist in the market, but we see a higher likelihood for HDI adoption to penetrate further in ASIC-based systems, considering the cost/performance benefits (see report: [Overview of AI PCB – competition, spec migration, and checks on B/S & CF](#)).

- HDI (high-density interconnect)** is a type of advanced PCB with finer L/S (line/space), smaller micro-vias (as laser-drilled holes usually feature 0.1mm or less), and advanced via technologies like blind and buried vias. The primary advantage of HDI PCBs lies in their ability to enable significant miniaturization, allowing for a smaller, thinner form factor while improving signal integrity due to shorter path lengths and reduced signal loss. This makes them ideal for high-performance, space-constrained applications. However, these could be associated with higher production costs (vs. conventional boards) when the yield rate is not satisfactory, which could be the case given the complexity of sequential build-up (SBU) process adopting more advanced equipment and stricter process controls. In AI servers, HDI technology is crucial for the compact and high-speed required by the main processor and high-bandwidth memory. Beyond AI, HDI boards are ubiquitous in smartphones, tablets, and advanced medical devices (like endoscopes), where the primary goal is to pack maximum functionality into a severely space-constrained form factor without compromising electrical performance.
- HLC (high layer count) PCB** is also known as multi-layer PCB (MLPCB). Unlike HDI boards that rely on micro-vias, MLPCBs typically use through-hole vias (PTH) to connect layers and create a solid, monolithic structure. The main advantage of HLC PCB is the ability to support complex, high-speed routing with dedicated power and ground planes, which is essential for managing power distribution and signal integrity in dense systems. HLC PCB is also more robust and capable of handling higher power loads than simpler boards. On the other hand, the disadvantages include a more complex design process and higher production costs vs. HDI (based on the same yield rate). In AI servers, HLC PCBs (e.g., 16+ layers) are fundamental for the server motherboard, backplane, and add-on cards, providing the necessary interconnect fabric for multiple processors (CPU/GPU, etc.) and other high-speed components. It is also the standard for high-speed network switches (400G/800G), ns infrastructure, and industrial control systems, where reliability and the ability to handle high power over a large physical area are critical.

Exhibit 54: Comparison between HDI and HLC
HDI has an edge in terms of density and size/area

PCB type/features	HDI	HLC (MLPCB)
Form factor (body size/area)	Smaller	Bigger
Density/pitch	Higher	Lower
Cost	Lower when layer-count is high enough	Lower at lower layer-count
Production difficulty	Higher	Lower
Drilling method	Mainly laser	Mechanical
Capex needed	Bigger	Smaller

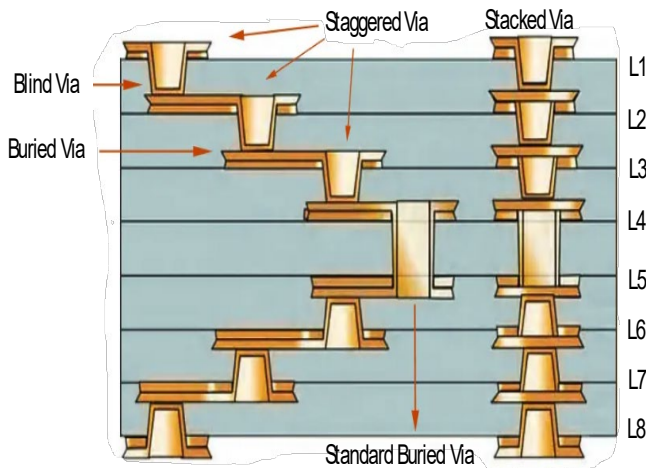
Source: BofA Global Research

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Exhibit 55: Illustration of HDI

HDI adopts stacked/staggered via with build-up process to connect PCB layers

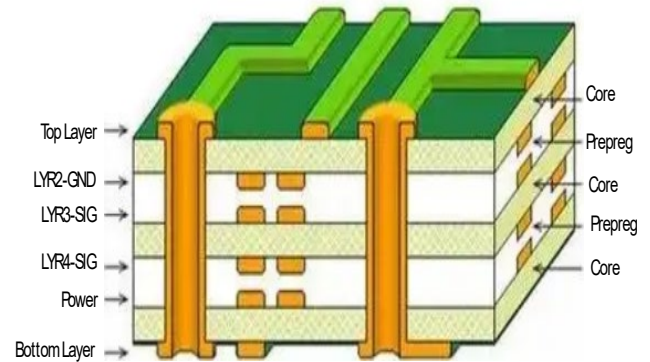


Source: BofA Global Research

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Exhibit 56: Illustration of HLC

HLC uses through-hole vias to connect the PCB layers



Source: BofA Global Research

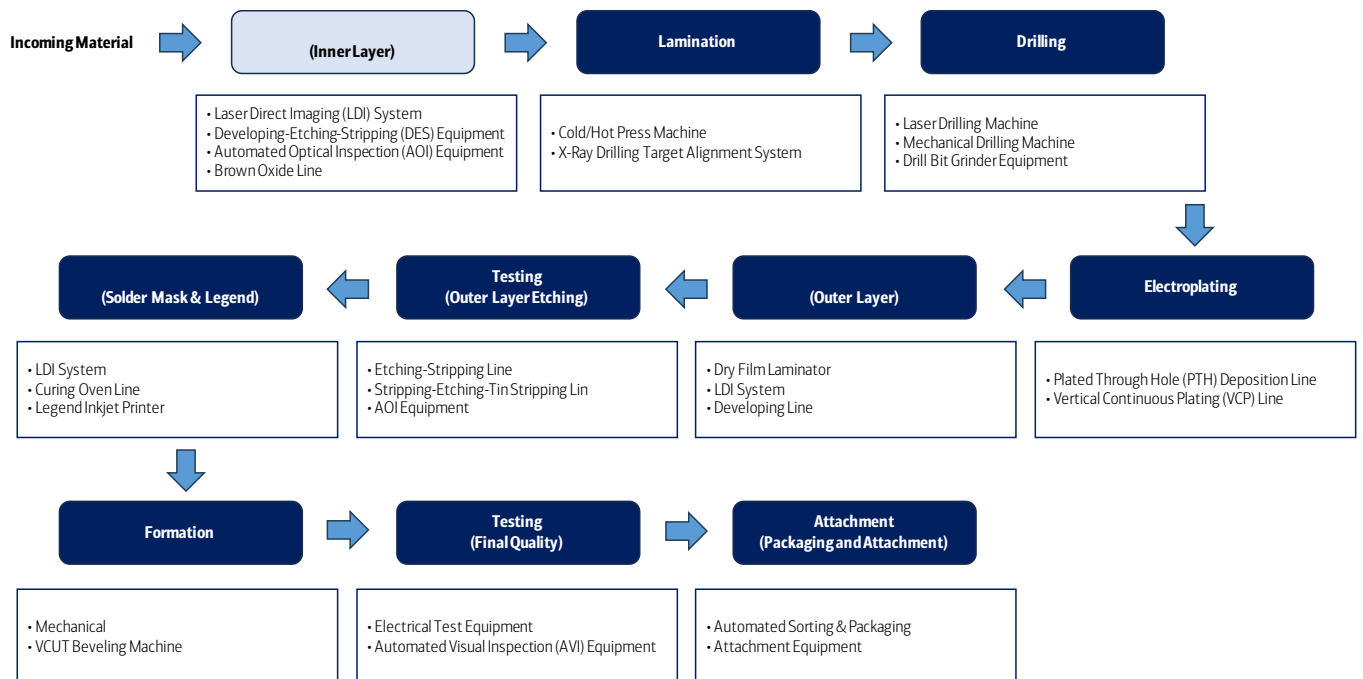
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Drilling: key process in PCB manufacturing

The drilling process is a critical process in PCB production, as it enables the formation of conductive vias that achieve interlayer electrical connectivity in HDI/HLC through subsequent precision metallization.

Exhibit 57: Manufacturing process of PCB

Drilling is the core process of PCB manufacturing



Source: Han's CNC, BofA Global Research

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There are three major types of conductive vias in HDI/HLC, including: (1) **through-hole**: passing completely through the board, connecting all layers from top to bottom; (2) **blind via**: starting from the outer surface and connects to one or more inner layers, but



does not go all the way through the board; and (3) **buried via**: locating entirely within the inner layers of the PCB and is not visible from the surface.

Within the PCB drilling process, mechanical drilling and laser drilling serve as complementary technologies. **Mechanical drilling** is predominantly used for creating through-holes, and for hole diameter at >0.15mm. It is also used in the backdrilling process, which removes unused portions of plated through-holes to reduce signal reflection and loss. **Laser drilling** (using UV/CO2 laser) is more suitable for generating blind and buried vias with hole diameter below 0.15mm. The advantage of mechanical drilling lies in its lower cost, high efficiency, superior depth control for thicker substrates, and less impact on material surface. On the other hand, laser drilling has advantages in higher precision and ability to create micro holes.

Exhibit 58: Comparison of mechanical & laser drilling
Mechanical drilling is more suitable for through-holes, and for hole diameters of >0.15mm

Drill method	Mechanical drilling	Laser drilling
Suitable hole Types	Through holes, backdrilling	Blind and buried vias
Hole diameter	>0.15mm	≤0.15mm (ultrafast laser: <0.08mm, CO2 laser: 0.08-0.15mm)
Equipment	Mechanical drilling machine (incl. CCD drilling system), drill bit	CO2/UV laser drilling machine
Advantages	Low cost High efficiency Superior depth control for thicker substrates Smaller impact on material surface	Suitable for micro holes High precision processing Able to adjust wavelength/pulse width for different materials

Source: BofA Global Research

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Exhibit 59: Abbreviations

Abbreviations used in the report

Abbreviation	Full name	Abbreviation	Full name
3C	Computer, communication, and consumer electronics	LT	Long-term
ACOP	Advanced chip on plastic	M&A	Mergers and acquisitions
AI	Artificial intelligence	MLPCB	Multi-layer printed circuit board
AlCrN	Aluminum chromium nitride	NIC	Network interface card
AOI	Automated optical inspection	NPAT	Net profit after tax
AP	Accounts payable	NV/NVDA	NVIDIA
AR	Anti-reflection	OAM	Open accelerator module
ASIC	Application-specific integrated circuit	OPEX	Operating expenses
ASP	Average selling price	P/B	Price-to-book ratio
AVI	Automated visual inspection	P/E	Price-to-earnings ratio
BBU	Battery backup unit	PCA	Printed circuit assembly
CAGR	Compound annual growth rate	PCB	Printed circuit board
Capex	Capital expenditure	PCD	Polycrystalline diamond
CCD	Camera controlled drilling	PCH	Pre-coated high gloss
CCL	Copper clad laminate	PCM	Pre-coated metal
CF	Cash flow	PEG	Price/earnings-to-growth ratio
CNC	Computer numerical control	PO	Price objective
COGS	Cost of goods sold	PSU	Power supply unit
COP	Chip on plastic	PTH	Plated through hole
CoWoP	Chip-on-Wafer-on-PCB	PVD	Physical vapor deposition
CPU	Central processing unit	R&D	Research and development
CPX	Context processing accelerator	RHS/LHS	Right-hand side / left-hand side
CVD	Chemical vapor deposition	ROE	Return on equity
DBEF	Dual brightness enhancement film	RU	Rubin Ultra
DCF	Discounted cash flow	SBU	Sequential build-up
DLC	Diamond-like Carbon	SD	Standard deviation
DPU	Data processing unit	SiO ₂	Silicon dioxide
FA	Factory automation	ST	Short-term
FPC	Flexible printed circuit	ta-C	Tetrahedral amorphous Carbon
G&A	General and administrative	TAM	Total addressable market / total market size
GPM	Gross profit margin	TiCN	Titanium CarboNitride
GPU	Graphics processing unit	UBB	Universal baseboard
HDI	High-density interconnect	UV	Ultraviolet
HLC	High layer count	VAT	Value-added tax
HVLP	Hyper very low profile	VCP	Vertical continuous plating
IC	Integrated circuit	VR	Vera Rubin
IPO	Initial public offering	WACC	Weighted average cost of capital
L/S	Line/space	WC	Tungsten Carbide
LDI	Laser direct imaging	WF ₆	Tungsten Hexafluoride
LED	Light emitting diode		

Source: BofA Global Research

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Exhibit 60: Company mentioned

Company mentioned in the report

Name in report	Stock code / status
Chaozhi New Materials	Private company
China Tungsten	000657.SZ
Circuit Fabology	688630.SH
Delton Technology	001389.SZ
Dongwei	688700.SH
Dtech Intelligent	Private company
Dtech	301377.SZ; 1377.HK
Dtech ROBOT	Private company
DtechXin	Private company
Founder Technology	600601.SH
Frost & Sullivan	Private company
GKG Precision	301338.SZ
Guangdong Taiding	Private company
Han's CNC	301200.SZ
Jinzhou Precision	Private company
Kinwong	603228.SH
MPK Kemmer	Private company
Nanyang Dtech	Private company
NVIDIA	NVDA (NASDAQ)
OKE	688308.SH
Prismark	Private company
SF Diamond	300179.SZ
Shareate	688257.SH
Shengyi	600183.SH
Shennan Circuits	002916.SZ
Sumitomo Electric	5802.T
Suntak Technology	002815.SZ
Suzhou Delphi Laser	688170.SH
Taizhou Ruihai	Private company
Taizhou Ruihe	Private company
Taizhou Ruihong	Private company
Topoint	8021.TW
TTM	TTMI (NASDAQ)
Union Tool	6278.T
Up-shine Lighting	301362.SZ
Victory Giant	300476.SZ
Worldia	688028.SH
WUS	002463.SZ
Xiamen Tungsten	600549.SH
Zhejiang Taiding VC	Private company

Source: BofA Global Research

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Price objective basis & risk

Dtech Technology (XNISF)

Our PO of HK\$430 is derived from the average of DCF and P/E valuation methodologies. We believe DCF is a suitable valuation methodology as it better captures the company's net profit, working capital management, capex, and cash-flow generation. On the other hand, we also believe P/E is another suitable methodology as it captures the sustained earnings growth we anticipate the company will achieve.

DCF valuation: we derive a fair value of HK\$430 from our DCF calculation, with FCF perpetuity growth assumption of 3%. Our WACC of 13.2% is based on 13.3% total cost of equity (i.e., risk-free rate of 3.5%, expected market return of 12% and 1.15x equity beta) and an after-tax cost of debt of 2.6%.

P/E valuation: we assign a target P/E of 45x to its 2027E EPS and derive a P/E-based fair value of HK\$430. Our target P/E reflects a PEG of 0.5x, given the company's estimated earnings CAGR of 90% over 2026-28. In line with peers due to a similar structure.

Risks: (1) Slower-than-expected AI capex, (2) Slower-than-expected spec upgrade of AI PCB, (3) Market competition in PCB drill bit, and (4) Fluctuation of raw material prices & availability of high-end tungsten steel

Dtech Technology (XDTXF)

Our PO of RMB506 for Dtech A is based on 35% premium to H-share PO. Our H-share PO of HK\$430 is derived from the average of DCF and P/E valuation methodologies. We believe DCF is a suitable valuation methodology as it better captures the company's net profit, working capital management, capex, and cash-flow generation. On the other hand, we also believe P/E is another suitable methodology as it captures the sustained earnings growth we anticipate the company will achieve.

DCF valuation: we derive a fair value of HK\$430 from our DCF calculation, with FCF perpetuity growth assumption of 3%. Our WACC of 13.2% is based on 13.3% total cost of equity (i.e., risk-free rate of 3.5%, expected market return of 12% and 1.15x equity beta) and an after-tax cost of debt of 2.6%.

P/E valuation: we assign a target P/E of 45x to its 2027E EPS and derive a P/E-based fair value of HK\$430. Our target P/E reflects a PEG of 0.5x, given the company's estimated earnings CAGR of 90% over 2026-28. In line with peers due to a similar structure.

Risks: (1) Slower-than-expected AI capex, (2) Slower-than-expected spec upgrade of AI PCB, (3) Market competition in PCB drill bit, and (4) Fluctuation of raw material prices & availability of high-end tungsten steel

Analyst Certification

I, Summer Wang, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Yingliu	XANHF	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Ming Hsun Lee, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Dtech Technology	XDTXF	301377 CH	Summer Wang, CFA
	Dtech Technology	XNISF	1377 HK	Summer Wang, CFA
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Guizhou Aviation	XNSZF	688239 CH	Fiona Liang
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	RoboTechnik	XYICF	300757 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XXMLF	002851 CH	Fiona Liang
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Ming Hsun Lee, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA

NEUTRAL

	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXGF	301029 CH	Ming Hsun Lee, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Ming Hsun Lee, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Ming Hsun Lee, CFA

UNDERPERFORM

	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Ming Hsun Lee, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Summer Wang, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Ming Hsun Lee, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang



iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

$\text{NOPAT} = (\text{EBIT} + \text{Interest Income}) \times (1 - \text{Tax Rate}) + \text{Goodwill Amortization}$

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

$\text{EV} = \text{Current Share Price} \times \text{Current Shares} + \text{Minority Equity} + \text{Net Debt} +$

Other LT Liabilities

Enterprise Value

Denominator

$\text{Total Assets} - \text{Current Liabilities} + \text{ST Debt} + \text{Accumulated Goodwill}$

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

$\text{Market Cap} = \text{Current Share Price} \times \text{Current Basic Shares}$

Sales

Basic EBIT + Depreciation + Amortization

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	68	62.39%	Buy	36	52.94%
Hold	15	13.76%	Hold	7	46.67%
Sell	26	23.85%	Sell	12	46.15%

Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	39	59.09%	Buy	18	46.15%
Hold	12	18.18%	Hold	9	75.00%
Sell	15	22.73%	Sell	9	60.00%

Equity Investment Rating Distribution: Non-Ferrous Metals/Mining & Minerals Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	65	63.73%	Buy	36	55.38%
Hold	21	20.59%	Hold	10	47.62%
Sell	16	15.69%	Sell	7	43.75%

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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